

Corporate Sustainability Report

ABOUT THE REPORT

This Corporate Sustainability Report (the “CS Report”) presents an overview of the Environmental, Social, and Governance (“ESG”) performance of AEON Credit Service (Asia) Company Limited (the “Company” or “ACSA”) and its subsidiaries (the “Group”). It communicates the Group’s sustainability strategies, initiatives, policies, and practices to its stakeholders, demonstrating its dedication to promoting sustainability and long-term value creation.

Reporting Scope and Boundary

This CS Report covers the period from 1st March 2024 to 28th February 2025 (“FY2024/25” or “Reporting Year”). The reporting boundary¹ for this year includes one new branch opened and a data centre which has been relocated in FY2024/25, as compared to our last report. The reporting boundary for FY2024/25 includes the Hong Kong head office, data centres in Hong Kong, 17 branches in Hong Kong, and 2 subsidiaries in Mainland China.

Reporting Standard and Principles

This CS Report is prepared in compliance with the Environmental, Social, and Governance Reporting Guide (the “ESG Guide”) set out in Appendix C2 of the Main Board Listing Rules issued by The Stock Exchange of Hong Kong Limited (the “Stock Exchange”). Additionally, the report presents how the Group aligns with the relevant United Nations Sustainable Development Goals (“UNSDGs”).

In preparing this CS Report, the Group followed the Stock Exchange’s reporting principles of materiality, quantitative, balance, and consistency. It fulfils the mandatory disclosure requirements and “comply or explain” provisions of the ESG Guide.

¹ The reporting boundary for FY2023/24 includes the Hong Kong head office, data centres in Hong Kong, 16 branches in Hong Kong, and 2 subsidiaries in Mainland China.

ABOUT THE GROUP

Corporate Profile

AEON Credit Service (Asia) Company Limited, a subsidiary of AEON Financial Service Co., Limited ("AFS"), is a member of the AEON Group. ACSA was set up in 1990 and listed on the Main Board of the Stock Exchange in 1995. The Group is principally engaged in the finance business, which includes credit card issuance, personal loan financing, card payment processing services, insurance intermediary business in Hong Kong and microfinance business in Mainland China.

Ideals and Vision

AEON Foundational Ideals

Pursuing peace, respecting humans, and contributing to local communities, always with customers as our starting point



AEON Group Future Vision

Create a future lifestyle that leads to a smile for each and every person

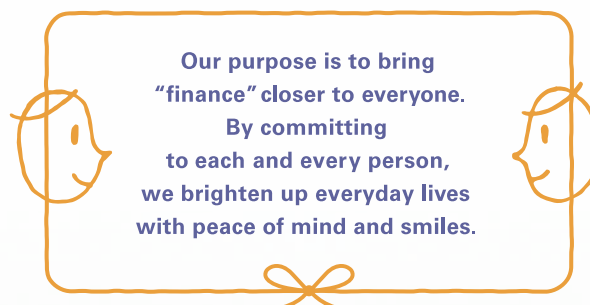


The Group adheres to AEON Foundational Ideals and AEON Group Future Vision when managing its business and ensures that all operations are customer centric to the highest degree possible. By embodying and practising these ideals, the Group contributes to maintenance and development of peace, humanity and local communities.



Read more about AEON Foundational Ideals and Future Vision on [our website](#).

Our Purpose



The Group pursues the AFS's Our Purpose and remains dedicated to making financial services accessible and enhancing the daily lives of its customers. By prioritising individual needs, we aim to foster trust and satisfaction, contributing to the well-being and happiness of the communities we serve.



Read more about AFS Background and Purpose on [our website](#).

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FY2024/25 SUSTAINABILITY HIGHLIGHTS

ESG Performance

Our Governance and Operation

UNSDGs	Board Diversity	ESG Committee Meeting	Internal Policy	Customer Satisfaction
   	The female representation on the Board is around 44%.	The Sustainability Committee held 4 meetings.	Updated internal policies to maintain stringent standards on ESG related matters, including Sustainable Development Policy, ESG Assessment for Suppliers, etc.	Received 407 customer compliments, a 132.6% year-on-year increase.

Our Environment

UNSDGs	Tree Planting	Paper Usage	Green Initiatives
  	Compensate for approximately 4.6 tonnes of CO₂e by planting an estimated 200 saplings.	- Recycled 1.2 tonnes of paper. 87.9% statements were used in electronic form, reducing paper usage.	Newly issued vertical credit cards made of recycled plastic.

Our People and Community

UNSDGs	Employee Training	University Scholarships	Community Investment
  	An average of 20.6 training hours per employee in Hong Kong and Mainland China.	110 beneficiaries received Scholarships in Hong Kong. - Scholarships for Shenzhen University and Sun Yat-sen University in Mainland China.	Sponsored 5 environmental/social programmes (excluding scholarship).

Industry Recognition

Environmental Efforts



For the second year in a row, the Group has been awarded the ESG+ Pledge from Chinese Manufacturers' Association of Hong Kong ("CMA"), which reinforces our status as an ESG pioneer and underscores our commitment to improve the ESG performance gradually.

Labour Practice

The Group was proud signatories of the "Good Employer Charter 2024" and was recognised as a "Supportive Family-Friendly Good Employer" by Workplace Consultation Promotion Division of the Labour Department, committing to adopt and strengthen employee-focused, family-friendly employment practices while creating a harmonious workplace.



The Group was honoured with "Happy Company 2024" award by the Promoting Happiness Index Foundation and CMA, recognising our commitment to creating a happy and harmonious working environment.

The Group received "Super MD" recognition from the Employee Retraining Board ("ERB") for achieving the "ERB Manpower Developer" designation for 10 consecutive years, as well as its outstanding contributions to manpower training and development in Hong Kong.



The Group was recognised as "Breastfeeding Friendly Premises 2024/25 Gold Label" and "Breastfeeding Friendly Workplace 2024/25" under 'Say Yes to Breastfeeding' Campaign by the Hong Kong Committee for UNICEF ("UNICEF HK") for supporting breastfeeding and creating breastfeeding-friendly environments in Hong Kong.

Community Investment

The Group received "15 Year Plus Caring Company" Logo (2007–2024) by the Hong Kong Council of Social Service in recognition our long-standing commitment to the community, employees, and the environment over the past years.



投資者及理財教育獎
Investor and Financial
Education Award 2024

The Group was awarded the "Investor and Financial Education Award 2024 (Corporate)" by the Investor and Financial Education Council in recognition of our efforts in improving the financial literacy of the people in Hong Kong.

Corporate Sustainability Report

OUR SUSTAINABILITY APPROACH

Board Statement

The Group recognises that sustainability is necessary for creating long-term value for its stakeholders. The Board of Directors (the “Board”) is fully committed to overseeing the work related to Group’s ESG issues and to support responsible business growth and operational excellence.

The Board has overall responsibility and ultimate accountability for the oversight of sustainable development of the Group and implementation of the ESG strategies in alignment with business objectives, stakeholder expectations, and regulatory requirements. We maintain a proactive approach to identify, evaluate, and mitigate ESG risks while leveraging opportunities that sustainable development offers.

Our ESG management strategy focuses on embedding sustainability across all aspects of the business. We identify, prioritise, and manage material ESG issues through a structured evaluation process that includes industry benchmarking, stakeholder engagement, and materiality assessments. The Board monitors progress against ESG-related goals and targets through regular Board meetings.

Corporate Governance

The Group has a robust corporate governance framework that ensures ethical, transparent and responsible business practices are followed meticulously. Further details on the Group’s corporate governance practices and performance are available in the Corporate Governance Report on pages 26 to 45 of the Annual Report and other documents published on our website.

Board Diversity

The Group is committed to have a diverse Board that brings a wide range of perspectives, expertise, and experiences. The Group has adopted a Board Diversity Policy that outlines the requirements for incorporating diversity factors in the board nomination process. When selecting board members, we consider factors including, skills, experience, background, race, nationality, gender and other qualities of directors. We believe that board diversity is essential for maintaining an effective and sustainable development strategy. For more information relating to board diversity, please refer to the Corporate Governance Report.

Risk Management

We place great importance on robust risk management practices to ensure sustainable business operations and effective governance.

Governance and Oversight

The Board ensures the effectiveness of the Group’s risk management and internal control systems. The Board delegates authority to the Audit Committee (“AC”) for in-depth evaluation and then the Risk Management Committee (“RMC”) supported by the Risk Management Department takes the appropriate steps.

The Group’s Enterprise Risk Management (“ERM”) framework outlines the structure of risk management and internal control systems that need to be followed. The framework encompasses identifying, assessing, measuring, responding, monitoring and reporting processes. The three lines of defence model has been set up to define the responsibility and ownership of managing risks of the Group, including ESG-related risks.

First Line	Risk Owners: All operating units (divisions, departments and project teams) All operating units own and manage risks.
Second Line	Risk Oversight: The Risk Management Committee and Risk Management Department - The Risk Management Committee oversees implementation of the ERM framework, including internal controls to assess and monitor risks. - The Risk Management Department monitors key risk indicators (“KRIs”) and risk events that occur to predict potential risks and negative impact to the business and ensures effective controls are in place in operating units.
Third Line	Independent Assurance: Audit Committee and Internal Audit Department Internal Audit Department provides independent assurance on the effectiveness of risk management and internal controls

The Audit Committee reviews the effectiveness of the Group’s risk management and internal control systems, including material controls for financial, operational, compliance, and ESG-related activities.

During the Reporting Year, the directors participated in the ASEAN Executive Compliance Training and Executive and Management Training organised by AFS to strengthen their understanding of corporate governance and risk management awareness. Additionally, all new employees receive risk management training as part of their onboarding process, ensuring employees understand key risk concepts and management practices in daily operations.

For more information relating to risk management and internal control, please refer to the Corporate Governance Report.

ESG Risk Management

The Group identifies ESG risks on an on-going basis, considering both internal and external factors such as regulatory changes, environmental impacts, and social expectations. The likelihood of ESG risks occurrence and the potential impact within a specified timeframe is assessed. The magnitude or severity of a risk is determined by multiplying its likelihood and impact. Once an ESG risk is identified, an appropriate risk response is formulated.

Also, ESG risks, including climate-related risk, human risk, legal & compliance risks are assessed in the regular Risk Control Self-Assessment (“RCSA”), among all other risks of the Group. Results of the assessment and the relevant risk mitigation measures, if any, are reported to the Risk Management Committee and the Audit Committee.

For more information relating to climate-related risk management and ESG-related risk management, please refer to the Addressing Climate Change and Product Risk Management section in this CS Report.

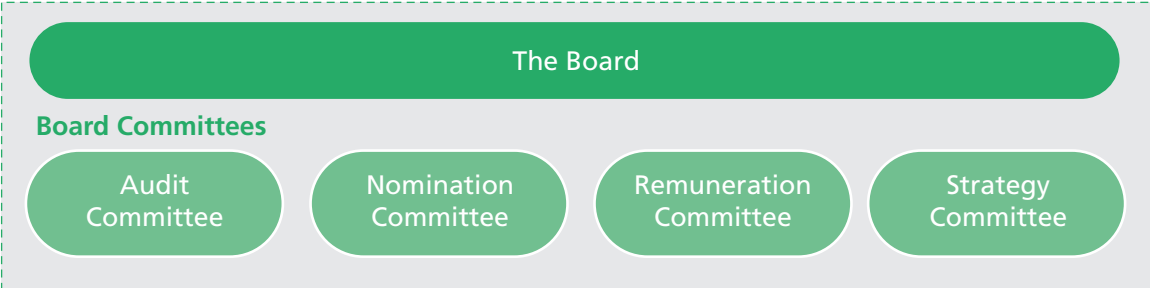
Corporate Sustainability Report

Sustainability Governance

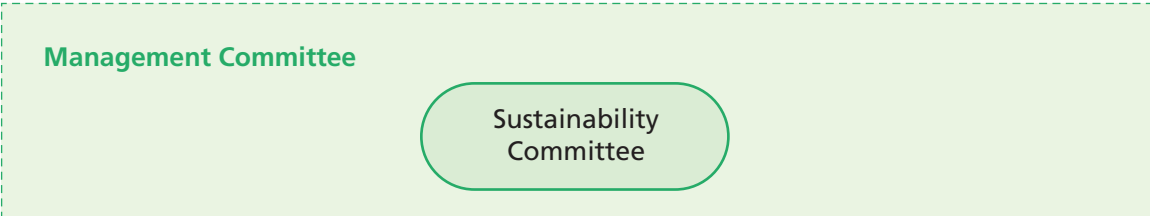
Sustainability governance plays a vital role in supporting attainment of the Group’s future vision. The Group’s sustainability governance structure comprises the Board of Directors, Sustainability Committee, Corporate Affairs and Sustainability Development Department, individual departments, branches, and subsidiaries at the operational level.

Governance Structure for Sustainability

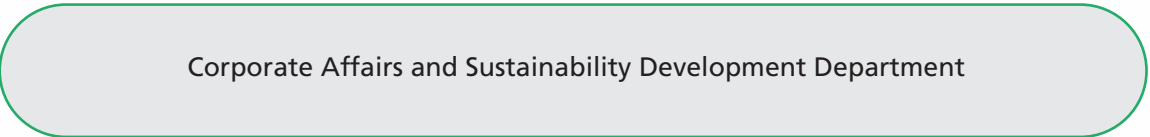
Highest governance body



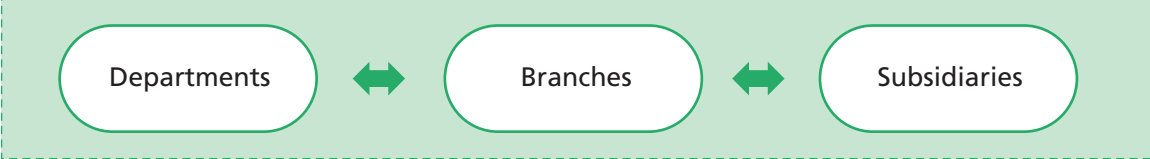
Management oversight



Coordinators



Implementation of sustainability-related strategies, policies and goals



Roles and Responsibilities



Sustainability Management Approach

Sustainability Policy

The Group has put in place a [Sustainability Development Policy](#), which serves as a framework to articulate its unwavering dedication to sustainable development. It provides clear guidance to employees on the development and implementation of sustainability initiatives that align with the core principles of the AEON Foundational Ideals and AEON Group's Future Vision.

Sustainability Oversight

During the Reporting Year, the Sustainability Committee held 4 meetings and reported to the Board regularly, which included evaluating, reporting, reviewing and discussing the Group's sustainability targets, sustainability-linked loans, ESG ratings, and sustainability-related business operations. To enhance the oversight and management of the Group's march toward targets and effective response to related issues, frequency of Sustainability Committee meetings is proposed to be increased in the next financial year.

Corporate Sustainability Report

Material ESG Topics

Stakeholder Engagement

The Group recognises that effective stakeholder engagement is essential for understanding expectations, identifying risks and opportunities, and fostering long-term relationships. Through active and continuous engagement with stakeholders on economic, environmental, and social topics, including open communication and regular interaction through various channels, the Group obtains valuable insights into stakeholders' needs, and how its operations impact them.

Employees



- Internal Newsletters and Intranet Communications
- Meetings with Employees
- Orientation and Exit Interviews
- Employee Suggestion Box
- Employee Surveys
- Training and Workshops

Investors



- Annual General Meetings and Investors Briefings
- Regular Reporting
- Announcements, Circulars and Other Corporate Communications

Customers



- "AEON Netmember" Service
- "AEON HK" Mobile App
- Branch-level Operations and Interactions
- Customer Service Hotline & Customer Surveys
- Social Media Platforms
- Newsletters and Marketing Materials
- Monthly Statement Inserts
- Company Website
- Year-round Publicity and Donation Campaigns
- Short Message Service and Multimedia Messaging Service

Government & Regulatory Authorities



- Correspondence
- On-site Inspection
- Compliance Reporting
- Enquiries and Clarifications

Stakeholder Groups and Communication Channels

Business Partners and Suppliers



- Ongoing Performance Audits and Reviews
- Best Practice Adoption
- Mass Communications

Community Partners



- Cultural Exchange, Education, Internship and Sponsorship Programmes
- Yearly Environmental Protection Initiatives

Industry Associations



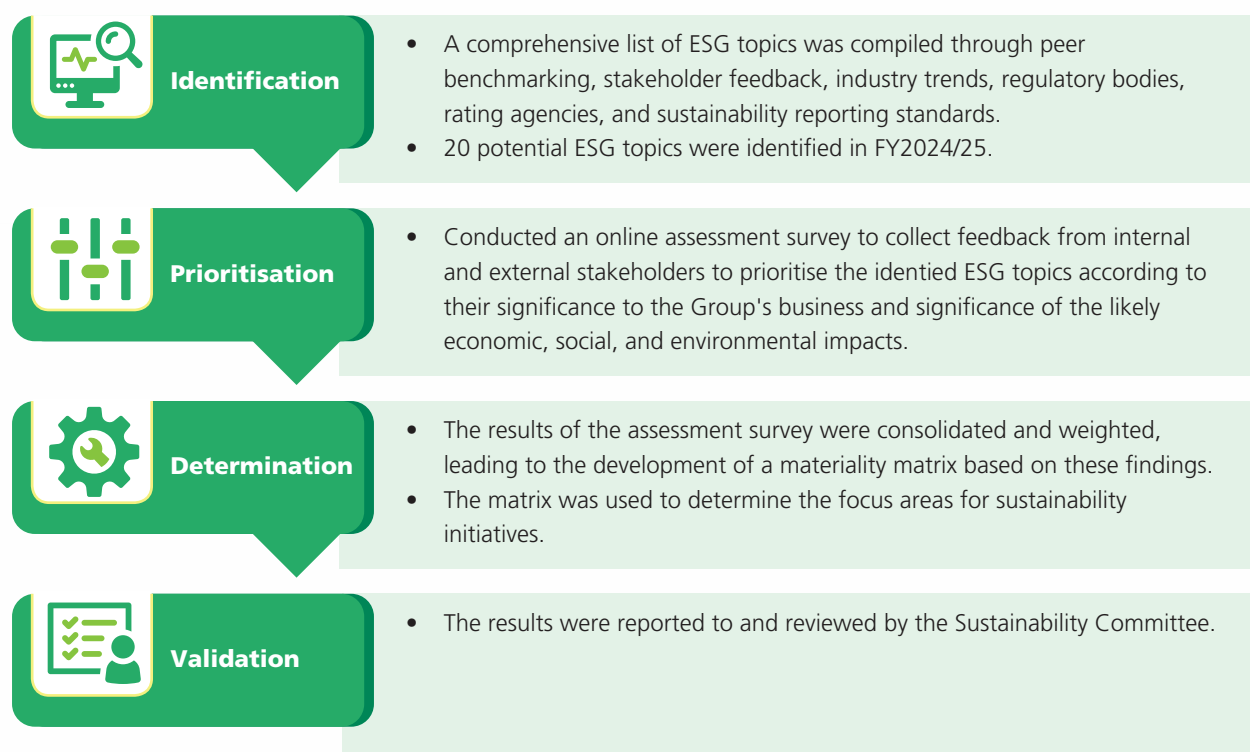
- Regular Meetings and Correspondence

Materiality Assessment

The Group conducts an annual materiality assessment exercise by engaging both internal and external stakeholders through the above-mentioned channels. During the Reporting Year, we adopted a double materiality assessment approach, evaluating materiality topics from two perspectives:

- **Financial Materiality:** This “outside in” view focuses on whether the ESG topics are expected to have a material impact on the Group’s business model, business operations, development strategy, financial condition, results of operations, cash flows, financing methods and costs in the short, medium and long term.
- **Impact Materiality:** This “inside out” view focuses on whether the performance of the Group on the identified ESG topics will have a significant impact on the economy, society and the environment.

The following steps were taken to determine materiality:

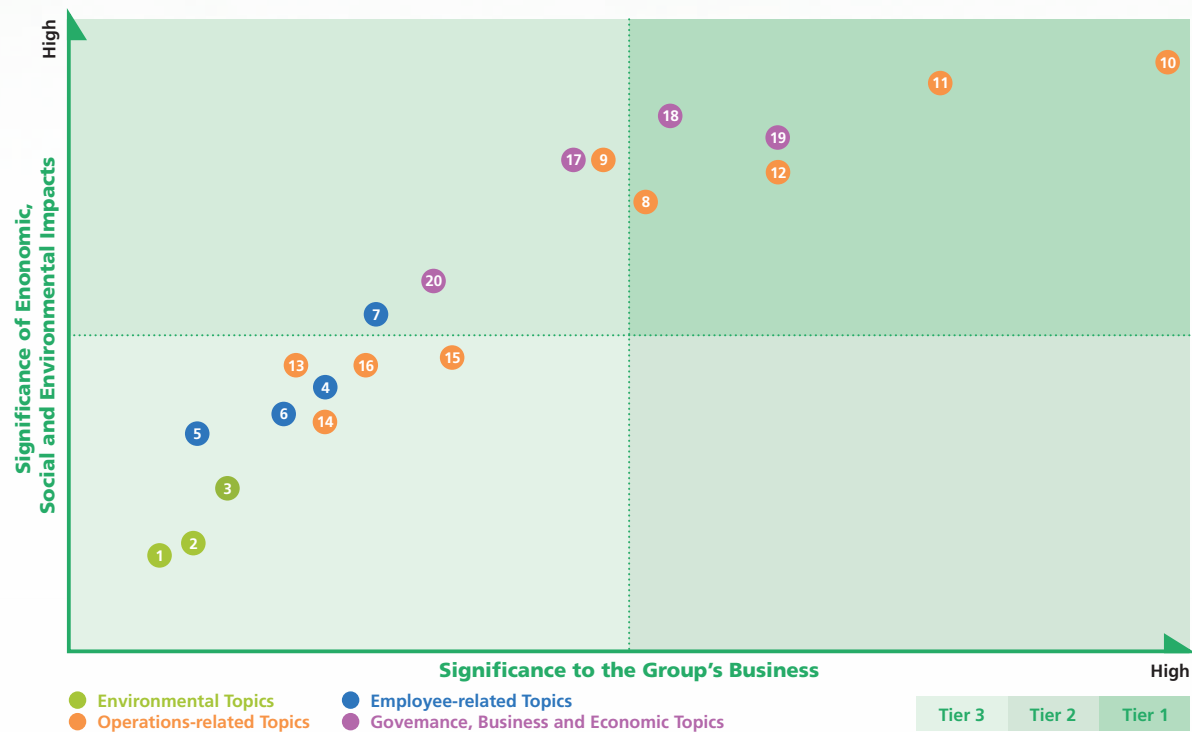


Materiality Matrix

The assessment results are depicted in the matrix below, where the y-axis represents the magnitude of the Group’s impact on the economy, society and the environment, while the x-axis reflects significance of the ESG topics to the Group’s business.

Corporate Sustainability Report

Following the materiality assessment, six ESG topics listed in Tier 1 were identified as material, as they meet the criteria for double materiality.



Tier 1

- | | |
|--|---|
| 8 Customer Satisfaction | 10 Cybersecurity and Data Privacy |
| 11 Digital Transformation and Innovation | 12 Product Responsibility and Intellectual Properties |
| 18 Risk Management | 19 Corporate Governance |

Tier 2

- | | |
|--------------------|-------------------------|
| 7 Labour Practice | 9 Complaint Handling |
| 17 Business Ethics | 20 Economic Performance |

Tier 3

- | | |
|-----------------------------|---|
| 1 Addressing Climate Change | 2 Energy Use and Greenhouse Gas Emissions |
| 3 Environmental Management | 4 Human Capital Development |
| 5 Diversity and Inclusivity | 6 Occupational Health and Safety |
| 13 Financial Inclusion | 14 Sustainable Finance |
| 15 Supply Chain Management | 16 Community Investment |

COMMITMENT TO OUR BUSINESS

UNSDGs	Targets	FY2024/25 Initiatives
	Target 16.5 Substantially reduce corruption and bribery in all their forms.	- Updated Whistleblowing Policy and AML/CTF Guidelines to ensure transparency and accountability, contributing to the prevention of corruption. - Held 2 fraud prevention training sessions and an ICAC talk.
	Target 16.6 Develop effective, accountable and transparent institutions at all levels.	
	Target 16.7 Ensure responsive, inclusive, participatory and representative decision-making at all levels.	

As a responsible provider of consumer finance and related services, our commitment to maintaining the highest ethical standards in our operations is embedded in our corporate culture. We believe that upholding integrity and ensuring transparency in all business practices is critical to building long-term relationships with customers, investors and other stakeholders.

In line with this commitment, we have established comprehensive policies and mechanisms to address key areas such as corruption and bribery, discrimination, confidentiality of information, anti-money laundering, counter-terrorist financing, conflicts of interests, and whistleblowing, etc. The internal policies provide clear guidance to employees at all levels, ensuring that all business activities are conducted with integrity, impartiality, and honesty.

Policies in place

- Employee Handbook
- Compliance Policy
- Whistleblowing Policy
- AML/CTF Guidelines
- Guide on Prevention of Money Laundering and Terrorist Financing

Business Ethics

The “Code of Business Ethics” in Employee Handbook sets out the basis standard of conduct expected of all employees and the company policies on acceptance of advantages and entertainment and declaration of conflict of interest by employees in connection with their official duties. Key areas such as corruption and bribery, discrimination, confidentiality of information, conflicts of interest, anti-money laundering, environmental responsibility, occupational health and safety, whistleblowing, etc. are also covered in the Group’s internal policies.

The Group does not tolerate any illegal or unethical acts. Anyone who is in breach of the Code of Business Ethics may be subject to summary dismissal. In cases of suspected corruption or other criminal offences, a report may be made to the Independent Commission Against Corruption (“ICAC”) or the appropriate authorities. By adhering to these standards, we foster a culture of accountability and responsibility throughout the organisation.

To ensure all employees understand the importance of compliance and the impact of violations on the Group, the AFS Compliance Newsletter is shared with all staff quarterly to help reinforce the need for proper conduct and remind employees to use the correct reporting channels.

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Conflicts of Interest

Employees are required to declare to the Group any financial interest, either direct or indirect, that they or their relatives may have in any business or other organisation which competes with the Group or has business dealings with the Group. During the Reporting Year, no conflicts of interest reports were received through the whistleblowing channel.

Anti-corruption

We are steadfast in our commitment to preventing corruption in all forms in our organisation. For more information relating to anti-corruption policy, please refer to the Corporate Governance Report. Employees are prohibited from soliciting/offering any advantage from/to customers, suppliers or any third parties in connection with the Group's business. We maintain a zero-tolerance approach towards corruption, ensuring that our business practices are always transparent and in accordance with both local and international legal standards.

During the Reporting Year, the Group held two fraud prevention training sessions and an ICAC talk that involved 3 Directors and 378 general staff, providing a total of over 493 training hours. Additionally, the annual Compliance refresher training was also conducted. We are not aware of any non-compliance of laws and regulations concerning anti-bribery and corruption by the Group.



Fraud Prevention Training
(Session 1)



Fraud Prevention Training
(Session 2)



ICAC Talk

Anti-Money Laundering and Counter-Terrorist Financing

The Group takes a proactive stance against money laundering and financing of terrorism. In compliance with international standards and local regulatory requirements, we have implemented an Anti-Money Laundering ("AML") and Counter-Terrorist Financing ("CTF") framework designed to detect, prevent, and report any suspicious financial activities. This includes performing due diligence on customers and merchants, maintaining comprehensive records of all transactions, and reporting any suspicious activities to relevant authorities. All employees are required to identify, assess and take effective action to mitigate AML/CTF risks across the business.



AML and CTF Framework

By adopting a risk-based approach, in resources allocation, the highest priority is given to the greatest points where risks can occur, such as during account opening and after that there is on-going monitoring of accounts. Our Customer Due Diligence (“CDD”) procedures includes identification of the customer and verification of the customer’s identity by documents, data or information provided by reliable and independent sources. Special attention is paid to customers from jurisdictions subject to sanctions, those with strong links to terrorist activities, or those connected to Politically Exposed Persons (“PEPs”). These high-risk customers undergo Enhanced Due Diligence (“EDD”), with a completed CDD form submitted to the Money Laundering Reporting Officer for further review and approval.

We maintain records of all AML/CTF-related documents, ensuring they are stored for a minimum of five years to comply with regulatory requirements.

To ensure our policies remain up-to-date, the Operations Division and Credit Control Department are responsible for reviewing and handling the AML/CTF Guidelines. In FY2024/25, we updated the list of high-risk countries potentially linked to terrorist financing as part of the AML/CTF guidelines. Additionally, our Internal Audit Department conducts an independent annual assessment of the Group’s AML/CTF systems, procedures, and preventive measures to identify areas for improvement and ensure compliance with evolving regulations.

During the Reporting Year, we were not aware of any non-compliance of laws and regulations concerning money laundering, terrorist financing, or insider trading by the Group.

Tax Transparency

Our tax policy aligns with the AEON Group’s Basic Tax Policy. We are committed to full compliance with both the letter and spirit of tax laws and regulations in every country where the Group operates. We do not engage in the use of preferential tax systems that do not accurately reflect our business activities, nor do we seek to avoid taxation by leveraging jurisdictions considered tax havens.

Whistleblowing Mechanism

A Whistleblowing Policy is in place and it applies to all employees of the Group as well as the related third parties who deal with the Group (e.g. customers, suppliers, and business partners). The Policy is reviewed by the Audit Committee at least every two years to ensure it remains effective. Any whistleblower possessing reasonable evidence of actual or suspected misconduct, malpractice, or irregularities within the Group is strongly encouraged to report such concerns to the Group.



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We have established a confidential and accessible whistleblowing mechanism that allows employees and external stakeholders to report concerns. The reporting channels include internal and external routes.

Whistleblowers have multiple options to report concerns, all of which are treated with the utmost confidentiality. Reports are accessible only to key individuals, including members of the Audit Committee, Managing Director, Company Secretary, Chairman of the Compliance Committee, and/or designated monitoring group members. Reports submitted through the AEON Compliance Hotline or AEON Financial Service Compliance Hotline are directed to AEON China (under the supervision of AEON Japan) and AFS respectively. The online complaint channel is available 24/7, allowing whistleblowers to report concerns at any time. The Legal Attorney Hotline, managed by an external legal attorney engaged by AEON Group, ensures independence and confidentiality.

All reports received through any of the available channels are promptly brought to the attention of the Audit Committee. The committee assesses whether further investigation is necessary, based on the information or evidence provided by the whistleblower or gathered during preliminary inquiries. If the information is found to be credible, a full investigation is initiated, conducted by the Company Secretary and/or other internal or external parties designated by the Audit Committee.

Anyone who is a subject of a whistleblowing report cannot participate or be involved in any related investigation in any manner. In cases where there is sufficient evidence indicating a possible criminal offence or corruption, the matter is promptly reported to the relevant authorities, such as the Police, the ICAC, etc.

Protection of Whistleblowers

We accept reports submitted by whistleblowers anonymously. When the whistleblower discloses his or her identity, we make every effort to treat reports confidentially and sensitively and keep the whistleblower's identity confidential.

The Group places a high priority on protecting whistleblowers and ensuring that they are not subjected to any form of retaliation. Whistleblowers making genuine and appropriate reports are guaranteed protection against unfair dismissal, victimisation, or unwarranted disciplinary action, even if their reported concerns are ultimately found to be unsubstantiated.

The Group reserves the right to take necessary actions against any individual initiating or threatening retaliation against whistleblowers. In particular, employees engaging in such actions may face disciplinary measures, including summary dismissal.

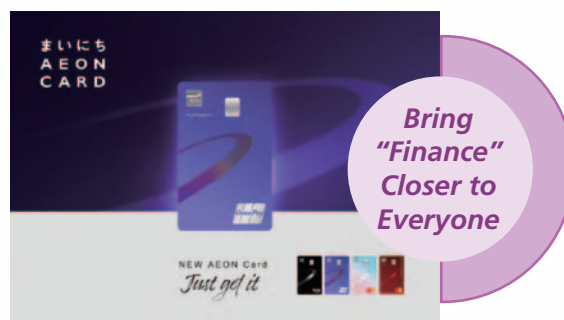
COMMITMENT TO CUSTOMERS AND BUSINESS PARTNERS

UNSDGs	Targets	FY2024/25 Initiatives
	Target 8.10 Strengthen the capacity of the financial institutions to encourage and expand access to banking, insurance and financial services for all.	• Launched the virtual card function. • Opened a new branch in Shatin. • Continued branch renovations, adding dedicated insurance consultation counters and expanding the network.
	Target 9.3 Increase the access of small-scale industrial and other enterprises to financial services, including affordable credit, and their integration into value chains and markets.	• Encourage local spending and introduced e-Voucher. • Relocation of the data centre.
	Target 9.5 Enhance scientific research, upgrade the technological capabilities and encourage innovation.	
	Target 17.8 Enhance the use of enabling technology, in particular information and communications technology.	• Implemented AI-powered fraud detection.

Being one of Hong Kong's leading credit card issuers and consumer finance services providers since 1990s, we ensure that our offerings constitute convenient and easy-to-understand financial services and are based on consumer perspectives.

Product Responsibility

The Group assumes full responsibility for products and services it delivers. We ensure that all financial offerings comply with applicable regulatory requirements and industry best practices.



Product Risk Management

To ensure responsible delivery of products and services, the Group has incorporated product risk management into its ERM framework, in order to mitigate various risks, such as compliance risk, credit risk, operational risks, etc., during the development and delivery of products and services.

While new product or service introductions undergoes risk assessments to ensure it meet the Group's risk appetite, the Board is ultimately responsible for understanding the nature and magnitude of significant risks, including those related to new products and services, to ensure sustainability of the Group. It ensures that these risks are managed within acceptable tolerance levels and are aligned with the Group's risk policies.

Corporate Sustainability Report

Product Design and Innovation

Innovation is a driving force behind the Group's commitment to enhancing customer experience. We continuously invest in digital transformation to develop user-friendly financial solutions that cater to evolving customer needs.

Innovative Product Design

The Group launched new vertical cards and virtual card function to enhance customer payment experience, offering a more convenient and seamless payment solution during the Reporting Year.

The Vertical Card

The newly designed vertical card from the Group aligns with the increasing demand for tap-to-pay contactless payments. Its vertical design allows customers to hold the card like a mobile phone, bringing a more intuitive payment experience compared with the traditional horizontal card orientation.



The Virtual Card Function



Designed to meet the increasing demand for digital payment options, the virtual card function offers a convenient, electronic alternative to physical credit cards. It eliminates the need to carry a physical card, providing customers with simple payment solutions. Customers can apply for the virtual credit card directly through the "AEON HK" Mobile App. Once activated, users can immediately begin making purchases before the physical card arrives, enjoy a more seamless payment experience.

Digital Transformation

To propel digital transformation, the Group has successfully launched the new card and loan system, and the revamped “AEON Netmember” website, besides “AEON HK” Mobile App. These upgrades provide a flexible and integrated platform for the creation and delivery of new payment solutions and product benefits.

To further strengthen its technological capabilities, the Group has successfully relocated its core data centre to Tseung Kwan O. The infrastructure attained M&O, Tier IV and TVRA certifications in terms of uptime guarantee, fault tolerance and cost-effectiveness. Additionally, the new data centre is located in a building purposely designed to meet internationally recognised green building certification standards, demonstrating the Group’s commitment to integrating sustainability into its business operations.

Regarding digitalisation of operations, the Group continues to enhance its call centre platform and provide responsive customer interaction. Data analytics tools are being further developed to heighten the effectiveness of marketing, credit assessment and credit management activities.

Sustainable Finance

The Group is committed to integrating sustainability into its financial strategy, ensuring that its operations contribute to a greener and more sustainable future. As part of this commitment, the Group secured its first sustainability-linked loans in November 2022, with a total carrying amount of HK\$320 million and a term of three years. By the end of this Reporting Year, the Group successfully secured a new HK\$300 million sustainability-linked loan from a syndicate of nine regional and local banks. This milestone marks a significant step in aligning our financial practices with environmental and social responsibility goals.

The loan agreements stipulate sustainability targets for the Group covering both environmental and social aspects. To ensure accountability and transparency, our sustainability performance metrics are independently assessed on an annual basis by an external reviewer.

Looking ahead, we remain dedicated to expanding our sustainable financing portfolio. We shall actively explore new opportunities to formulate and offer ESG-driven financial solutions, reinforcing our role in the transformation of a greener and more sustainable capital market. By embedding sustainability into our financial operations, we aim to create long-term value for our stakeholders while contributing positively to environmental and social well-being.

Corporate Sustainability Report

Financial Inclusion

The Group is committed to promoting financial inclusion by providing accessible and affordable financial services to individuals from diverse socio-economic backgrounds, including underserved communities. Our comprehensive range of financial products — including credit cards, personal loans, insurance, and instalment payment options — enables more individuals to participate in the financial system and achieve their financial goals.

To further enhance accessibility, the Group continues to launch mass promotion initiatives for its credit card and personal loan businesses, ensuring that a wider customer base can benefit from financial solutions. Additionally, we aim to acquire licenses from new payment gateways, expanding our payment services scope and merchant network to offer greater convenience and financial access. Moreover, we continuously refine our credit assessment policy to provide tailored and sustainable credit facilities, ensuring responsible financial support that meets the diverse needs of our customers.

Recognising that different customer segments have unique needs and preferences, we are committed to customising our service delivery methods. This includes offering multiple digital and offline service channels, such as “AEON HK” Mobile App, official website, dedicated customer service hotline, and in-person support at branches, ensuring that customers from all backgrounds can access financial services conveniently.

Enhancing Customer Access and Support

To meet the increasing demand for face-to-face advisory services, the Group has continued to revamp its branches, adding dedicated insurance consultation counters and expanding its network. This transformation aims to create a one-stop financial centre for customers. In June 2024, a new physical branch opened in Shatin, featuring both dedicated service and insurance consultation counters to better serve our clients.

Additionally, our customer service representatives will provide extra care, especially for senior citizens and those in need of special assistance.



New Branch at City Link Plaza in Shatin

Support Local Economy

To support the local economy, the Group has introduced various initiatives aimed at stimulating local consumption. Our marketing strategies are specifically designed to support local consumption. AEON cardholders can earn extra rewards when they spend at local eateries and selected local merchants, further driving economic activity and benefiting small businesses in the community.

Another initiative is the launch of our e-Voucher programme, where customers can utilise their bonus points to redeem for e-Voucher seamlessly via “AEON Netmember” website or “AEON HK” Mobile App, making it easier to support and promote local spending.

Financial Education

We actively engage in financial literacy programmes to empower underserved groups with the knowledge and tools needed to make informed financial decisions. Through these initiatives, we aim to help individuals better understand credit management, budgeting, and responsible borrowing.

Financial Literacy Education

Since FY2022/23, the Group has partnered with the Hong Kong Family Welfare Society to launch the “Financial Education ON!” (“FE-ON!”) Programme, which fosters healthy spending habits and financial literacy among children, youth, and parents.

To date, the FE-ON! Programme has facilitated over 100 educational sessions, benefiting more than 1,300 students and parents. Additionally, the initiative promotes financial literacy through social media, leveraging viral videos and engaging content to reach a broader audience.



Through the FE-ON! Programme, we were honoured to receive the “Investor and Financial Education Award 2024 (Corporate)” from the Investor and Financial Education Council, recognising our efforts in promoting financial literacy. We will continue to support initiatives that enhance financial awareness, foster informed investment choices, and contribute to a more financially resilient community.

Additionally, to enhance employees’ financial literacy, we organised a session on Mandatory Provident Fund (“MPF”) and a financial awareness seminar on daily expense management, equipping employees with essential knowledge on maintaining financial stability.



Financial Wellness Session



Investor and Financial Education Award 2024 (Corporate)

Corporate Sustainability Report

Customer Satisfaction

"Customer First" is our business philosophy. To keep in line with this business philosophy, the Group takes all possible steps to achieve customer satisfaction through the following steps:



To maintain service excellence, the Group has established a Customer Service Operation Manual and approval procedures that guide customer interactions and ensure a high-quality experience. The Customer Service Sub-Committee plays a key role in overseeing our customer service strategy. It regularly reviews the progress of customer experience initiatives, monitors service standards, and evaluates customer service performance.

The Customer Service Sub-Committee meets monthly to discuss and address customer-related matters, ensuring that our products are responsibly offered and that our service standards are consistently met. In addition, the Customer Service Sub-Committee is responsible for reviewing the work plan for improvement of the following matters.



To further enhance customer satisfaction, we conduct regular training sessions for our marketing personnel and branch employees twice a year. The training covers product knowledge, card features, promotions, and ethical selling practices, ensuring our staff are equipped to provide the best service to customers.

We are also committed to offering responsible products and services. All our products, services, and advertising materials are developed with clear, transparent, and balanced information, in full compliance with relevant requirements of regulatory authorities. We place a strong emphasis on ethical selling practices, clear communication of financial terms, and a customer-first approach, ensuring that targeted groups receive suitable financial solutions without undue pressure or misleading information.

Customer Feedback and Complaint Handling Mechanism

The Group understands and treats customers' complaints as an opportunity to understand customer feedback. We aim to achieve customer satisfaction by implementing an easily accessible complaint mechanism, enabling customers to raise concerns or issues regarding our products and services, ensuring transparency and accountability.

The Group has developed a standard complaint handling procedure to ensure efficient resolution of complaints while maintaining customer satisfaction. We offer various channels for customers to voice their concerns, including in-branch assistance, a customer service hotline, and online chat support via "AEON HK" Mobile App and website. We also have implemented easily accessible complaint mechanisms tailored to financial inclusion clients.

All complaints received are recorded and investigated promptly and followed by internal review and resolution steps, ensuring that each complaint is addressed effectively and professionally.



FY2024/25 Target:

Customer complaint cases at **8** or below per **100,000** incoming calls

FY2024/25 Progress:

1.86 customer complaint cases per **100,000** incoming calls

Feedback and Complaints Channels



**Branch
Offices**



**Customer
Service
Hotline**



**Mobile
App**



**Company's
Website**

To maintain and continuously enhance the quality of our service, our Customer Relationship Management ("CRM") Department prepares weekly complaint reports, which the CRM Manager reviews and reports to Management weekly. Moreover, the CRM Manager reviews customer service standards with Management in monthly Customer Service Sub-Committee meeting.

We have set the following response times for complaints and implemented rigorous procedures to ensure timely handling, ultimately aiming to strengthen customer relationships and demonstrate our commitment to exceptional service.



Verbal Complaint

- Complaints received in person or via telephone are replied to within 2 working days. If the investigation takes longer, a courtesy call is made to advise the progress every 5 working days.



Written Complaint

- For complaints received by letter, fax and email, a written reply is sent out within 10 working days.

Corporate Sustainability Report

Customer Satisfaction Survey

To measure the customer experience, the Group conducts regular customer satisfaction surveys. Insights from these surveys drive continuous improvement initiatives, ensuring that we adapt to changing customer needs while maintaining the quality of our financial services.

We have implemented an online survey system, where customers receive an invitation via email to participate in the survey upon completing a transaction. The Customer Relationship Management Department is responsible to share customer feedback with senior management.

Senior management regularly reviews customer feedback, including customer suggestions, compliments, and complaints. Customer feedback is shared with staff and the relevant business units, to enhance customer service and promote best practices.

Our customer satisfaction assessment covers complaints and compliments received from all customers. In FY2024/25, the Group received 13 customer complaints, mainly about services and other general issues. Besides, a total of 407 customer compliments were received, representing a 132.6% increase as compared to previous year, mainly attributed to delivery of satisfactory branch service.

Data Privacy and Security

At the Group, we prioritise protection of customer and organisational data, ensuring that both are handled with the highest level of confidentiality, integrity, and compliance.

Data Protection Standards

As an organisation that processes, stores and transmits payment card data, we are committed to safeguarding customer information in accordance with the highest data protection standards. We strictly adhere to the Payment Card Industry Data Security Standard ("PCI DSS") and the ISO 27001:2022 Information Security Management Standard.

During the Reporting Year, we have successfully obtained latest version of PCI DSS and ISO 27001 certifications, both of which are essential frameworks for data governance and information security, ensuring the protection of cardholder data privacy and overall information security. We also revised our Information Security Policy to incorporate the expanded requirements of ISO 27001:2022 and updated the PCI DSS Charter, further reinforcing our commitment to data protection.

PCI DSS compliance is assessed annually by external qualified security assessors, supplemented by quarterly vulnerability scans of our computer networks. The external qualified security assessors provide a Report on Compliance ("RoC") and an Attestation of Compliance ("AoC").



To ensure effective protection of payment card data and maintain PCI DSS compliance, we enforce rigorous physical and logical security controls. These include encryption of stored payment card data, secure configuration of protection mechanisms such as firewalls, antivirus software, and intrusion prevention systems, as well as strict physical access controls. A two-factor authentication is mandated for computer login to ensure additional security.

All security controls and procedures are thoroughly documented and logged to ensure accountability and facilitate recovery in the event of a data breach or network outage. As custodians of payment card data, we take full responsibility for its security and remain committed to adhering to all relevant controls outlined by PCI DSS.

Data Protection Responsibilities

The Managing Director has been appointed as the Chief Information Security Officer also and bears overall responsibility for overseeing and maintaining the Group's information security. The Head of the Operations Division and the Head of the Risk Management Department oversee the development, implementation, and ongoing maintenance of data protection measures. Additionally, the Risk Management Committee ("RMC") is responsible for monitoring compliance with these policies and procedures.

In the event of policy changes or a data leak, the RMC is responsible for examining any violation of the information security policy and associated procedures by individuals or entities. The RMC is also responsible for recommending disciplinary actions as necessary in time.

All employees and other individuals handling the Group's information resources bear the responsibility of promptly reporting any suspected or actual threats or security breaches to the IT Security Department for further investigation. In the event of a data breach or security incident, the IT Security Department follows the Cyber Security Incident Management Procedure, assembling a Computer Security Incident Response Team ("CSIRT") to respond swiftly and mitigate any potential risks to data breaches. Additionally, we regularly conduct CSIRT drill exercise with the objectives of building preparedness mindset deal with incident anytime and keep fine-tuning existing incident escalation flow.

During the Reporting Year, we were not aware of any reports of customer privacy data breaches.

Data Protection Initiatives

In FY2024/25, we implemented a Data Loss Prevention ("DLP") system to enhance the security of sensitive data. This system adds watermarks to sensitive information, enabling us to trace data access and retrieval events and monitor the flow of data more effectively.

To further safeguard our digital environment, we deployed a new web proxy that integrates user authentication and web filtering, ensuring secure control over the Group's web traffic while mitigating data loss risks. Additionally, we enhanced Internet Protocol ("IP") Address blocking mechanisms, transitioning from a manual process to an automated system using Robotic Process Automation ("RPA") to improve efficiency and security.

Corporate Sustainability Report

Data Protection Training

To ensure that all employees and third-party vendors understand the importance of data protection and comply with applicable regulations, the Group has established a structured training programme. This training is designed to raise awareness about data privacy, reinforce good practices, and prevent data breaches. The key elements of our data privacy training include:

	Orientation training for all new hires	• IT Basic Training on information Security • PCI DSS Awareness Training • Introduction to ISO
	Annual training for all staff	• IT Basic Training on information Security Refresher • PCI DSS Awareness Refresher Training • AFS IT Security Training
	Mandatory training for third parties	• Information Security Training • PCI DSS Awareness Training

Third-party Data Protection Compliance

All third parties, including business partners and vendors, with whom we share data, are required to comply with our data privacy policy. We perform third-party vendor sub-audits to assess compliance, and when suppliers gain network access through account creation, they are required to sign a non-disclosure agreement binding them to adhere to security standards, preventing disclosure of sensitive information to external parties from unauthorised disclosure. When full compliance is not feasible because of some valid reasons, additional approval is required as outlined in the contractual agreement with the third party.

Customer Data Privacy

We are committed to safeguarding the privacy and confidentiality of customer data. Protecting the confidentiality of customer data remains fundamental to our reputation and retaining the trust of our customers.

Data privacy protection is an integral component of our Operational Risk Management, which is embedded within the Enterprise Risk Management framework. To ensure transparency, we have established clear policies on data collection, use, and sharing, empowering customers to remain fully informed and in control of their personal information.

Policies in place

- Information Security Policy
- Data Security Guidelines
- Personal Data Protection Regulation
- Personal Data Protection Policy
These policies apply to all employees

These policies apply across all aspects of the Group's operations. Additionally, a compliance audit is conducted annually to assess whether the Group's data management practices and policies meet the data protection requirements.

Our Personal Data Protection Policy outlines the principles that ensure collection and processing of user data are limited to specific, stated purposes. The Group collects user data through lawful and transparent methods and obtains explicit consent from data subjects when necessary. The customers have the right to opt out of certain data processing activities and request the deletion of their data, providing them with control over their personal information.

Cybersecurity and Fraud Prevention

As cyber threats continue to evolve, the Group has implemented a comprehensive cybersecurity strategy to protect digital assets, customer data, and information of financial transactions. Our proactive approach ensures that our security systems remain resilient against emerging cyber risks.

Cybersecurity Risk Assessment and Protection Measures

To strengthen the cybersecurity framework, we have engaged qualified professional assessors to conduct regular vulnerability assessments and simulated cyberattacks, evaluating the effectiveness of our security controls and identifying potential vulnerabilities.

To mitigate risks associated with financial transactions, we have introduced AI-powered fraud detection tools for all credit card transactions. These tools analyse credit status and customers' purchasing patterns to detect and verify the authenticity of any suspicious transactions. Based on risk levels, the system can approve or reject transactions in real time, providing customers with enhanced security and fraud protection.

Customer Education and Anti-Fraud Awareness

In addition to technological safeguards, we actively educate customers on fraud prevention and cybersecurity awareness. We send anti-fraud reminders via SMS and email, advising customers to avoid suspicious links and phishing attempts. Furthermore, we included Cyber Safety and Security Information on company website and publish monthly anti-fraud alerts on Facebook to raise awareness and help customers remain vigilant against potential security threats.

Intellectual Property Protection

To protect intellectual property, our Guidelines on Compliance with the Copyright Ordinance require employees to adhere to copyright laws. The Group has implemented the IT Security Standard, which strictly prohibits installation of any unlicensed or unauthorised software on company computers.

All marketing materials are sourced after confirming that any copyrighted content is incensed, to ensure compliance with intellectual property rights. We also engage with our suppliers to ensure they are fully aware of and respect intellectual property rights of all concerned in their operations.

Corporate Sustainability Report

Supply Chain Management

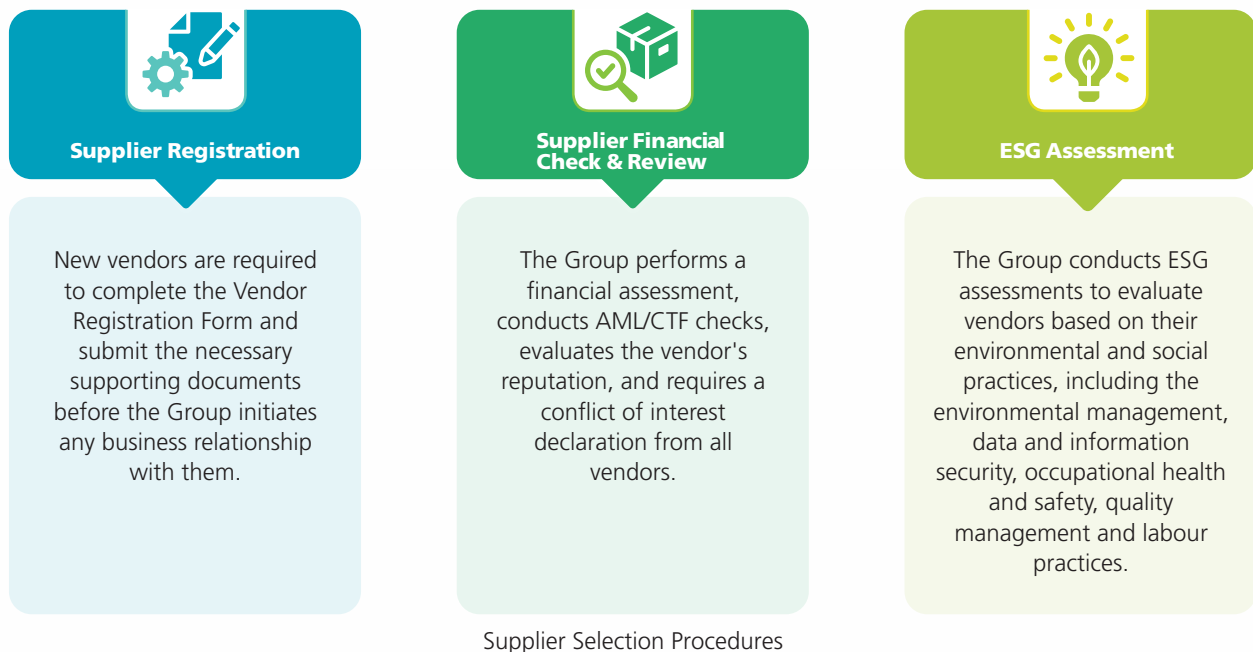
The Group is dedicated to responsible supply chain management and ensures that its business partners are in agreement with its ethical, environmental, and social standards. We seek to partner with vendors who share our commitment to sustainability and corporate responsibility, as well as meet the dynamic and evolving expectations of local communities.

We have updated the Guideline for Procurement Procedures, Guideline for Vendor Management, and ESG Guidance Note for Vendors in FY2024/25, ensuring that all sourcing practices are fair, transparent, and aligned with our commitment.

During the Reporting Year, we collaborated with a total of 922 suppliers and business partners. Among these, 493 were based in Hong Kong, 398 in Mainland China, 11 in Japan, and 20 in other regions.

Supplier Selection

To ensure compliance, sustainability, and ethical business practices, all prospective vendors must undergo a structured registration and assessment process.



We have published our [Statement on Vendor Management](#) on our website which outlines our supply chain requirements, including the processes for supplier registration, ESG assessment, annual vendor evaluations, and vendor de-registration.

We are committed to promoting sustainable practices across our supply chain and prioritise vendors that offer environmentally friendly products and services. We proactively engage with our suppliers to explore environmentally friendly alternatives for plastic used in credit card production. When selecting consumable items, we strive to strike a balance between environmental sustainability, user friendliness, and cost-effectiveness whenever feasible.

To assess and acknowledge vendor's understanding and acceptance of the Group's ESG standards, we invite vendors to sign our ESG Guidance Note for Vendors which outlines our expectations and standards for environmental, anti-corruption, data privacy, labour standards, and governance practices.

Supply Chain Management Approach

Our supply chain management approach is built on the foundation of sustainability, ethical practices, and operational efficiency.

 Engagement	• Engage with suppliers through various communication channels, including annual vendor evaluation and ESG assessments. • Proactively communicate with suppliers to enhance their understanding and recognition of the Group's commitment to regulatory requirements, its internal standards, and overall values.
 Training	• The Group's designated business consultants and advisors are required to complete mandatory training on Information Security, PCI DSS Awareness, and Compliance to foster a cooperative relationship based on mutual trust and assistance.
 Risk Management	• During the prequalification and supplier selection process, we conduct several assessments on new suppliers, including due diligence on compliance with AML and CTF rules, reputation checks on new suppliers, financial evaluations, and conflict of interest screenings to minimise any risks along our supply chain. • ESG assessment
 Reviews & Audits	• Conduct continuous and regular reviews of supplier performance, with a particular emphasis on annual assessments and evaluations of specific contractors and recurring suppliers, for evaluating their service delivery, completeness, quality, ESG performance, reputation, etc.

Corporate Sustainability Report

COMMITMENT TO OUR ENVIRONMENT

UNSDGs	Targets	FY2024/25 Initiatives
	Target 11.6 Reduce the adverse per capita environmental impact of cities, including by paying special attention to air quality and municipal and other waste management.	Installed waste recycling bins in designated common areas.
	Target 12.5 Reduce waste generation through prevention, reduction, recycling and reuse. Target 12.8 Ensure that people everywhere have the relevant information and awareness for sustainable development and lifestyles in harmony with nature.	- Adopted recycled materials for credit card production. - Enhanced knowledge and awareness through Board ESG Training and ESG Awareness Training for all employees. - Strengthened ESG assessments within the vendor management procedure.
	Target 13.1 Strengthen resilience and adaptive capacity to climate-related hazards and natural disasters.	Conducted climate scenario analysis to evaluate the impact of climate-related risks.

As a financial services provider, our responsibility extends beyond economic growth to include environmental sustainability. As part of our sustainability strategy, we are focused on reducing our carbon footprint, minimising waste, and integrating eco-friendly practices into our operations.

From eco-friendly uniforms to recycled plastic credit cards, we are committed to minimising the environmental impact arising from the Group's operations, aligning with UNSDGs, and enhancing environmental performance across the Group.

Addressing Climate Change

Climate change poses risks and opportunities for business, including financial institutions like us. We recognise the need to address climate change and are committed to integrating sustainable practices into our operations. By addressing climate change, we aim to strengthen business resilience, support sustainable finance, and contribute to the transition to a low-carbon economy.

In line with global sustainability trends and regulatory expectations, the Group is committed to enhancing transparency in climate-related disclosures. We have gradually aligned our climate-related disclosures with reference to the International Financial Reporting Standards S2 Climate-related Disclosures ("IFRS S2"), which provides a structured approach to assessing and disclosing climate risks and opportunities. This includes governance, strategy, risk management, and metrics and target to track climate impact and performance.

Governance

The Group has a structured governance framework for addressing climate change, which is integrated into the Group's sustainability governance framework.

Board Oversight

The Board has the ultimate responsibility for the Group's climate-related initiatives. The Board plays a crucial role in developing and reviewing the climate strategy, ensuring alignment with the Group's objectives, values, and long-term sustainability goals. Additionally, the Board oversees climate-related risks and opportunities, ensuring they are effectively managed across the organisation.

During the Reporting Year, to ensure the Board stays informed of the latest trend of climate-related risks and opportunities, we invite an external climate expert to provide climate-related training on climate trends, regulatory developments, equipping Board members with the knowledge needed to drive effective climate governance.

Committees Support

The Board is supported by two key committees in addressing climate change:

The Sustainability Committee

Chaired by the Executive Director, the committee comprises heads of different divisions and representatives from various business functions. It is responsible for overseeing the Group's climate-related initiatives, including:

- Identifying, measuring, monitoring, and managing climate-related risks, opportunities, and performance metrics.
- Setting and tracking progress against climate-related targets.
- Ensuring the integration of sustainability principles across business operations.

The Risk Management Committee

The committee focuses on overseeing climate-related risk management processes. It ensures that climate risks are systematically assessed and integrated into the Group's Enterprise Risk Management framework.

Both committees report regularly to the Board, providing updates on sustainability performance, climate-related targets, and climate-related risks and opportunities assessments in regular meetings. We believe the structured reporting ensures that climate considerations are embedded in corporate decision-making.

Management Responsibilities

Sustainability Committee meeting is held regularly to discuss sustainability and climate-related matters. Each division and department within the Group also has the responsibility to stay aware of any climate-related risk that may affect their areas of responsibility. The Group identifies and assesses climate-related risks on the enterprise level, among all other risks altogether, based on the Enterprise Risk Management framework. Once identified, the risk is to be reported to the Risk Management Committee and Sustainability Committee.

Corporate Sustainability Report

Strategy

The Group faces climate-related risks mainly in Hong Kong and the Greater Bay Area, where extreme weather events like Typhoons and heavy rainfall can impact operations. Key risks include disruptions to data centres, IT systems, and physical branches, as well as potential credit risks if customers face financial strain due to climate impacts. At the same time, the Group sees opportunities in strengthening risk management, integrating ESG into its products and services, and promoting sustainable finance initiatives.

To develop a comprehensive climate strategy, during the Reporting Year, we conducted climate-related risks and opportunities assessment to identify climate-related risks and opportunities, and their potential impact on the business model and value chain, and formulated corresponding mitigation and adaptation strategies to enhance our resilience to climate change.

Effects of Climate-related Risks and Opportunities

The assessment considers both the physical risks, transition risks, and climate-related opportunities posed by climate change, including potential impacts on operations, supply chains, and customer demand. Assessment results are detailed as follows:

Physical Risks	Climate-related Risks	Effects on Business Model	Effects on Value Chain	Potential Financial Impact
Acute Risk	Extreme Weather Events	Disruptions to operations and service delivery	Disruptions in logistics and supply chains	Revenue loss due to the temporary closure of the head office, branches, and service centres. The estimated business loss during extreme weather events, including sales losses incurred during the incident period and the following days before resumption of normal operation.
Chronic Risk	Rising Sea Levels	Damage to infrastructure of the Group or its service providers	Increased insurance costs	Reduced revenue and higher costs from negative impacts on workforce
	Rising Temperatures	- Negative impacts on the workforce - Potential relocation of key branches		

Corporate Sustainability Report

Transition Risks	Climate-related Risks	Effects on Business Model	Effects on Value Chain	Potential Financial Impact
Policy and Legal Risk	Tightening Carbon Emissions Regulations	- Increased compliance costs - Increased focus on transparency and data collection to meet disclosure standards	- Suppliers and partners may face similar regulatory pressures, requiring collaboration to ensure compliance - Supplier chain partners need to provide additional data to support the Group's disclosure	- Additional expenses related to carbon assessments, reporting, and related processes - Increased audit and compliance costs for report preparation, third-party audits, and data system upgrades
	Mandatory Climate Disclosure Requirements			
Technology Risk	Low-Carbon Technology Transition	- New technology development - Early retirement of existing high emission equipment	Supply chain adaptation to new technology standards	Increased capital expenditure for allocating significant capital toward technology upgrades and infrastructure development
Market Risk	Customer Preference Shifts	Shifts focus towards sustainable finance products offering	Pressure on suppliers to provide eco-friendly alternatives	A shift in customer preferences towards competitors offering sustainable solutions could reduce potential revenue for the Group
Reputational Risk	Increased Stakeholders' Concern	- Stronger ESG commitments required - Potential brand value impact	Stricter sustainability requirements for partners, suppliers and customers	Failure to attract and retain climate-conscious customers may result in a decline in revenue and loss of market share

Corporate Sustainability Report

Opportunities	Climate-related Opportunities	Effects on Business Model	Effects on Value Chain	Potential Financial Impact
Products and Services	Sustainable Financial Products	Integration of sustainability into product offerings	Increased demand for sustainable financial products across markets	Increase revenue, competitiveness and market share from growing demand for sustainable finance products
Energy Source	Energy Efficient Operations	- Reduced exposure to future fossil fuel price increases - Reduced exposure to GHG emissions	Anticipated reputational benefits leading to a rise in demand for products and services	Cost savings from reduced energy consumption and lower utility expenses

Climate-related Scenario Analysis

To ensure a comprehensive risk assessment, the Group adopts scenario frameworks proposed by internationally recognised organisations. We evaluate two high-contrast climate scenarios under different scenario frameworks to analyse and discuss potential impacts of climate-related risks and opportunities under varying conditions, for long-term resilience planning and strategic decision-making:

Low Emission Scenario: the global temperature increase is limited to 1.5°C in this century, aligning with the Paris Agreement's goal.

High Emission Scenario: the global temperature increase is more than 2°C in this century, representing a future with more severe climate impacts and fewer mitigation efforts.

Under the selected climate scenarios, we assessed the impact level and time horizon in which climate-related risks may occur. Regarding climate-related opportunities, we focused solely on evaluating the time horizon in which these opportunities are expected to materialise for the Group.

The assessment scope includes all geographical locations where the Group operates, covering our operations in Hong Kong and Mainland China.

Physical Risk Scenarios

We selected Shared Socioeconomic Pathway (“SSP”) proposed by International Panel on Climate Change (“IPCC”) in the Sixth Assessment Report (“AR6”) to assess physical risks, given its credibility and focus on physical science impacts.

SSP1-2.6 (Low Emission Scenario)	Characteristic ²	SSP5-8.5 (High Emission Scenario)
The world actively adopts carbon reduction measures, with greenhouse gas emissions peaking before 2030 and then declining rapidly.	 Scenario Description	The world continues to rely heavily on fossil fuels, and greenhouse gas emissions keep growing.
By 2100, the global yearly average temperature is expected to rise by about 1.3°C to 2.4°C.	 Temperature Changes	By 2100, the global yearly average temperature is expected to rise by about 3.3°C to 5.7°C.
By 2100, sea levels are expected to rise by approximately 0.32 metres to 0.62 metres, posing a relatively low threat to coastal infrastructure.	 Sea Level Rise	By 2100, the median sea level rise approaches 0.63 metres to 1.01 metres, presenting severe risks to coastal areas.

² The characteristics of the IPCC scenarios were referenced from the Summary for Policymakers of the IPCC Sixth Assessment Report.

Corporate Sustainability Report

Transition Risk Scenarios

We selected Network for Greening the Financial System (“NGFS”) climate scenarios to assess transition risks, as NGFS provides a comprehensive set of metrics relevant to the financial services industry.

Net Zero 2050 (Low Emission Scenario)	Characteristic ³	Fragmented World (High Emission Scenario)
This scenario assumes global warming shall be limited to 1.5°C due to use of stringent climate policies and innovation, implying global net zero CO ₂ emissions by around 2050.	 Scenario Description	This scenario assumes delayed and divergent climate policy actions around the globe, leading to high physical and transition risks.
1.4°C	 Policy Ambition	2.4°C
Immediate and smooth	 Policy Reaction	Delayed and fragmented
Fast change	 Technology Change	First slow, then fragmented
Medium-high use	 Carbon Dioxide Removal	Low-Medium use
Medium variation	 Regional Policy Variation	High variation

³ The characteristics of the NGFS scenarios were referenced from the NGFS Climate Scenario for Central Banks and Supervisors.

Time Horizon Definition

Since the Group operates in both Hong Kong and Mainland China, the timeframes are aligned with the Hong Kong's Climate Action Plan 2050 and China's Dual Carbon Goals⁴, ensuring consistency with regional climate policies.



Impact Level Definition

●	Low Impact Level: Risks that are unlikely to occur, with minor effects on the business. The Group can quickly adapt, and recovery requires minimal resources and time (weeks to months).
●	Medium Impact Level: Risks with a moderate chance of occurring. They can cause moderate disruptions to operations, but the Group can manage with some adjustments. Recovery may take several months to a year, requiring moderate resources.
●	High Impact Level: Risks with a high likelihood of occurrence, leading to significant disruptions that could affect the Group's long-term viability. Adapting may require major changes, and recovery could take a year or more, needing substantial resources.

⁴ China's Dual Carbon Goals: To peak carbon emissions before 2030 and achieve carbon neutrality by 2060.

Corporate Sustainability Report

Assessment Results

	Low Impact Level
	Medium Impact Level
	High Impact Level

Physical Risk	Relevance and Assumptions	IPCC AR6 SSP1-2.6			IPCC AR6 SSP5-8.5		
		Before 2030	2030–2050	Beyond 2050	Before 2030	2030–2050	Beyond 2050
Extreme Weather Events	We assessed how physical risks might impact the locations of our assets and the potential risks to asset value.						
Rising Sea Levels							
Rising Temperatures							

Transition Risks	Relevance and Assumptions	NGFS Net Zero 2050			NGFS Fragmented World		
		Before 2030	2030–2050	Beyond 2050	Before 2030	2030–2050	Beyond 2050
Tightening Carbon Emissions Regulations	We estimated that tightening climate-related policies and laws may result in additional carbon taxes and compliance costs.						
Mandatory Climate Disclosure Requirements							
Low-Carbon Technology Transition	We estimated that adopting low-carbon technologies could involve substantial upfront investments, R&D costs, and technological risks.						
Customer Preference Shifts	We assessed how customer environmental requirements and market structural changes may affect costs.						
Increased Stakeholders' Concern	We estimated that negative reputational impacts could lead to sustained reductions in business volume and revenue.						

Opportunities	Relevance and Assumptions	Time Horizon
Sustainable Financial Products	We evaluated the timeline for realising climate-related opportunities during the Group's transition to net-zero.	Medium-term
Energy Efficient Operations		Short to Medium-term

Risk Management

The Group has established a comprehensive approach to managing climate-related risks, integrating them into our Enterprise Risk Management framework. These risks are systematically evaluated through our regular Risk and Control Self-Assessment ("RCSA") process, which evaluates the likelihood of occurrence and potential impact within a defined timeframe.

Risk Control

The Enterprise Risk Management Policy and Climate Risk Management Regulation provide a standardised approach across the Group to effectively address the Group's risks, including climate-related risks. The Group's primary goal is to ensure the identification of climate risks, the establishment of appropriate countermeasures, and continuous monitoring of both existing and emerging climate-related risks.

Each climate risk has to be identified, assessed, responded to, monitored and reported. The implication of each climate risk should be analysed and grouped into the existing risk categories. Once identified, the corresponding risk owner division/department should take the lead to manage the risk in accordance with relevant risk management regulations and guidelines.

Risk Mitigation

To manage identified risks, we implement various mitigation strategies based on our climate-related risks and opportunities assessment results.

Climate-related Physical Risks	Mitigation Initiatives
Extreme Weather Events	- Promote digitalisation of our financial services through 'AEON Netmember' service and the 'AEON HK' Mobile App. - Implement remote access to minimise any potential service disruptions. - Establish back-up data centres and service centres in areas with lower risks. - Periodic maintenance on the Group's business continuity plans and performance of drill tests and rehearsals on a regular basis to reduce the residual risk and impact of climate change.
Rising Sea Levels	
Rising Temperatures	

Corporate Sustainability Report

Climate-related Transition Risks	Mitigation Initiatives
Tightening Carbon Emissions Regulations	- Invest in sustainability initiatives and approaches. - Improve reporting and compliance frameworks. - Requiring acquiring merchants and business partners to adapt to the new environmental rules.
Mandatory Climate Disclosure Requirements	
Low-Carbon Technology Transition	Prudent investments ensure cost-efficiency in technology development and adaptation.
Customer Preference Shifts	- Secured sustainability-linked loan agreements totaling HK\$320 million with three banks in FY2022/23 for a term of three years, and an additional HK\$300 million through a new agreement with a syndicate of nine regional and local banks in FY2024/25. - Issue eco-friendly credit card which uses recycled materials.
Increased Stakeholders' Concern	- Invest more in climate-related issues. - Promote sustainability in marketing efforts. - Engage stakeholders and ensure transparency. - Delegate staff members to be responsible for promoting sustainability to enhance the responsible corporate image and ensure proper disclosure to the public.

Metrics and Targets

To effectively address climate-related risks and opportunities, the Group has established clear targets and metrics to monitor progress, ensure accountability, and evaluate the success of our climate risk management strategies.

We actively monitor and disclose emissions across Scope 1, Scope 2, and employee business travel under Scope 3. In alignment with the latest ESG Guide requirements from the Stock Exchange, we plan to expand our disclosure to include additional Scope 3 categories in the future.

Our specific targets include goals related to greenhouse gas ("GHG") emissions, energy efficiency, resource usage, and waste management. These targets are closely aligned with our broader sustainability objectives and are designed to strengthen our resilience to climate-related impacts, enhance operational efficiency, and seize emerging opportunities.

We regularly track and report on these metrics and the progress toward our targets, making adjustments as needed to ensure we achieve our objectives.

For detailed information on energy consumption and GHG emissions, please refer to the Green Operation section of this CS Report.

Green Operation

Acknowledging the pressing need to tackle environmental issues, we have established Board-approved guidelines aimed at reducing our environmental footprint and enhancing sustainability across all facets of our operations.

The Sustainability Committee is responsible for reviewing objectives and developing relevant action plans for both the headquarters and branch offices. Additionally, we keep strengthening ESG assessments in the vendor management process, fostering a mutually beneficial relationship that promotes environmental stewardship. To achieve these goals, we enhance knowledge and awareness through Board ESG Training and ESG Awareness Training for all staff.



Since 2009, the Group has obtained ISO 14001 Environmental Management System Certification for both its headquarters and branch offices, demonstrating that its environmental management efforts comply with internationally recognised standards.

We are committed to reducing our carbon footprint, enhancing operational efficiency, and promoting the responsible use of resources throughout the Group's operations by taking actions aligned with the following targets:

Aspects	Target ⁵	Base Year	Target Year	FY2024/25 Progress
GHG Emissions	Reduce Scope 1 and Scope 2 GHG emissions intensity by 8%	FY2023/24	FY2027/28	Increased by 1.9%
Energy Use Efficiency	Reduce electricity usage intensity at the head office by 8%	FY2023/24	FY2027/28	Decreased by 8.5%
Resources and Waste Management	Reduce printing paper usage by 8%	FY2023/24	FY2027/28	Decreased by 12.8%

⁵ The targets for GHG Emissions and Energy Use Efficiency are applicable to the Group's operations in Hong Kong only.

Corporate Sustainability Report

Energy Saving and Emissions Reduction

Energy Consumption

We are committed to reducing our environmental footprint by optimising energy use across all operations. The Group’s energy consumption is primarily coming from two sources: petrol and electricity. During the Reporting Year, the Group’s total energy consumption amounted to 1,187,554.24 kWh, with an energy consumption intensity of 14.90 kWh/sq ft. Among these sources, electricity accounts for significant proportion, accounting for approximately 94.2% of our total energy consumption.

GHG Emissions

As part of our ongoing commitment to sustainability, we regularly track and report our GHG emissions. In FY2024/25, the Group’s total GHG emissions were 537.42 tCO₂e, and the emission intensity was 0.0067 tCO₂e/sq ft. Direct emissions (Scope 1) were 18.88 tCO₂e. Electricity use on our premises (Scope 2) is the largest contributor to our carbon footprint, which amounted to 499.97 tCO₂e, accounting for approximately 93.0% of total emissions. Other indirect emissions (Scope 3⁶) were 18.57 tCO₂e.

Air Emissions

In FY2024/25, sulfur oxides (“SO_x”), nitrogen oxides (“NO_x”), and particulate matter (“PM”) generated by the Group were 0.10 kg, 4.17 kg, and 0.30 kg, respectively. Air emissions of the Group are from company vehicles.

Though the Group’s operations result in minimal air emissions, we remain focused on minimising pollutants. We ensure regular maintenance of vehicles to minimise exhaust smoke and ensure efficient combustion of fuel.

Our Initiatives

We are committed to building resilience to climate change risks by adopting proactive measures to safeguard our operations and interests of our stakeholders.

	Adapting new energy-efficient measures after office renovation, including installing timers for lighting and air conditioning, LED lighting, motion sensor control.
	Sharing monthly reports on electricity and paper usage via email with staff members, along with comparisons with the previous month’s data.
	Posting reminders in prominent areas or using internal newsletters to advocate environmentally responsible use of lighting, air conditioning, and office equipment.
	Adhering to legal requirements, we use unleaded petrol and low-sulphur content diesel for our company vehicle to minimise environmental impact and promote cleaner fuel alternatives.

Additionally, we relocated our core data centre to Tseung Kwan O in this year. Situated in a building certified with globally recognised green building standards, such as LEED certifications, we believe this relocation underscores the Group’s commitment to integrating sustainability into its operations.

⁶ Scope 3 disclosure includes air freight business travel only.

Paper Usage

We understand the importance of reducing paper usage to minimise waste and conserve valuable resources. As a financial services provider, we have implemented several initiatives to reduce unnecessary paper consumption across our operations, focusing on digital transformation and paperless workflows.



Digital Transformation

We embrace advanced technology and digital platforms to reduce paper usage while enhancing customer convenience and operational efficiency. Key initiatives include:

Digital Credit Card Applications

- We have streamlined the credit card application process through a secure online platform, enabling a direct, efficient, and paperless experience.

Online Customer Services

- Through the 'AEON Netmember' service and the 'AEON HK' Mobile App, customers enjoy access to an extensive range of online services without the need for printed materials.
- Launch of e-voucher for bonus point redemption to reduce consumption of paper voucher.

Incentivising E-Statements

- Starting in June 2021, a monthly fee of HK\$10 per paper statement was introduced to encourage customers to switch to electronic statements. In the Reporting Year, over 87.9% of customer statements were delivered electronically, marking a year-on-year increase of 0.8 percentage point.

Corporate Communications

- From last year, the Group has transitioned to delivering Corporate Communications (e.g., financial reports, notices of meetings, circulars, and proxy forms) electronically to shareholders, significantly reducing paper consumption. Printed versions are provided only upon request.

Corporate Sustainability Report



Paperless Operation

To achieve paperless business operations, we actively encourage employees to prioritise digital communication and documentation. Through innovative systems and initiatives, we aim to minimise reliance on printing and paper-based workflows while promoting sustainable practices:

Online Workflow System

- We have launched an online workflow system to streamline internal payment and approval processes. During the Reporting Year, the online workflow system further expanded and the last module was launched in March 2025, hence reduce paper consumption for internal administrative work.

Employee Self-Service Platforms

- Tools like the Employee Self-Service and iLeave Portal enable employees to handle administrative tasks such as leave applications, accessing payslips, and reviewing tax returns online.

Learning Management and Operational Systems

- The introduction of a Learning Management System and a new card and loan system has further reduced paper-based training and transaction processes.

Electronic Signatures

- We have adopted electronic signatures for internal approvals, helping to further reduce paper consumption and enhance operational efficiency.

Awareness Campaigns

- Monthly paper consumption data is shared with employees to promote awareness and encourage mindful use of paper.

During the Reporting Year, the total use of printing paper was 4.89 tonnes, with 1.20 tonnes of printing paper successfully recycled.

Waste Reduction

The Group is committed to minimising waste generation and enhancing recycling efforts across its operations. We have implemented various measures at our head office and branches to promote reuse and recycling, with a focus on reducing our environmental footprint.



Hazardous Waste

The Group's hazardous waste primarily consists of ink cartridges, fluorescent tubes, and outdated equipment. These items are collected and managed by designated suppliers and the building management office. Electronic waste, including computers and servers, is either recycled internally or donated to certified recycling facilities. The IT Division ensures that all stored data are properly erased, and disposal procedures are carried out in accordance with internal regulations.



Waste Recycling Bins

During the Reporting Year, the Group generated a total of 130 hazardous waste items, with a hazardous waste intensity of 0.22 pieces per employee.



Non-hazardous Waste

We follow effective waste management practices to handle non-hazardous waste, including general office waste. This includes recycling of paper through certified recyclers and the recycling of plastic bottles in partnership with V Cycle, a local green enterprise, which upcycles them into useful products.

To promote a culture of waste reduction, we do not provide personal rubbish bins in the office. Instead, general waste is collected centrally in designated common areas. We have also placed recycling bins for metals, plastics, and paper throughout the office to encourage proper recycling practices.

Building on last year's practice, we have adopted sustainable plastic materials for our newly issued vertical cards. The cards are made from recycled polyvinyl chloride ("rPVC") plastic, which is certified by the Global Recycled Standard. The initiative aligns with our commitment to reducing plastic waste and supporting the circular economy. By using rPVC, we not only minimise the environmental impact of producing new plastic but also contribute to the reduction of landfill waste.

During the Reporting Year under review, the Group generated 204.60 tonnes of non-hazardous waste, resulting in a non-hazardous waste intensity of 0.35 tonnes per employee. Additionally, we recycled 0.10 tonnes of plastics and 0.09 tonnes of aluminum.

Corporate Sustainability Report

Water Efficiency

During the reporting year, the Group consumed 3,705.43 m³ of water, resulting in a water intensity of 0.06 m³/square feet. The majority of this consumption came from our two subsidiaries in Mainland China, which accounted for approximately 88.3% of the Group's total water usage.

We primarily rely on local municipal water sources, and both Hong Kong and Mainland China are regions with low water stress, which ensures reliable supply that meets our operational needs. There is no issue in sourcing water fit for the purpose. Despite this, the Group remains committed to promoting responsible water use across all its operations.

To encourage water conservation, we have implemented initiatives such as placing water-saving reminders near taps to ensure that employees properly turn off faucets after use, in order to prevent leaks and reduce wastage.

COMMITMENT TO OUR PEOPLE

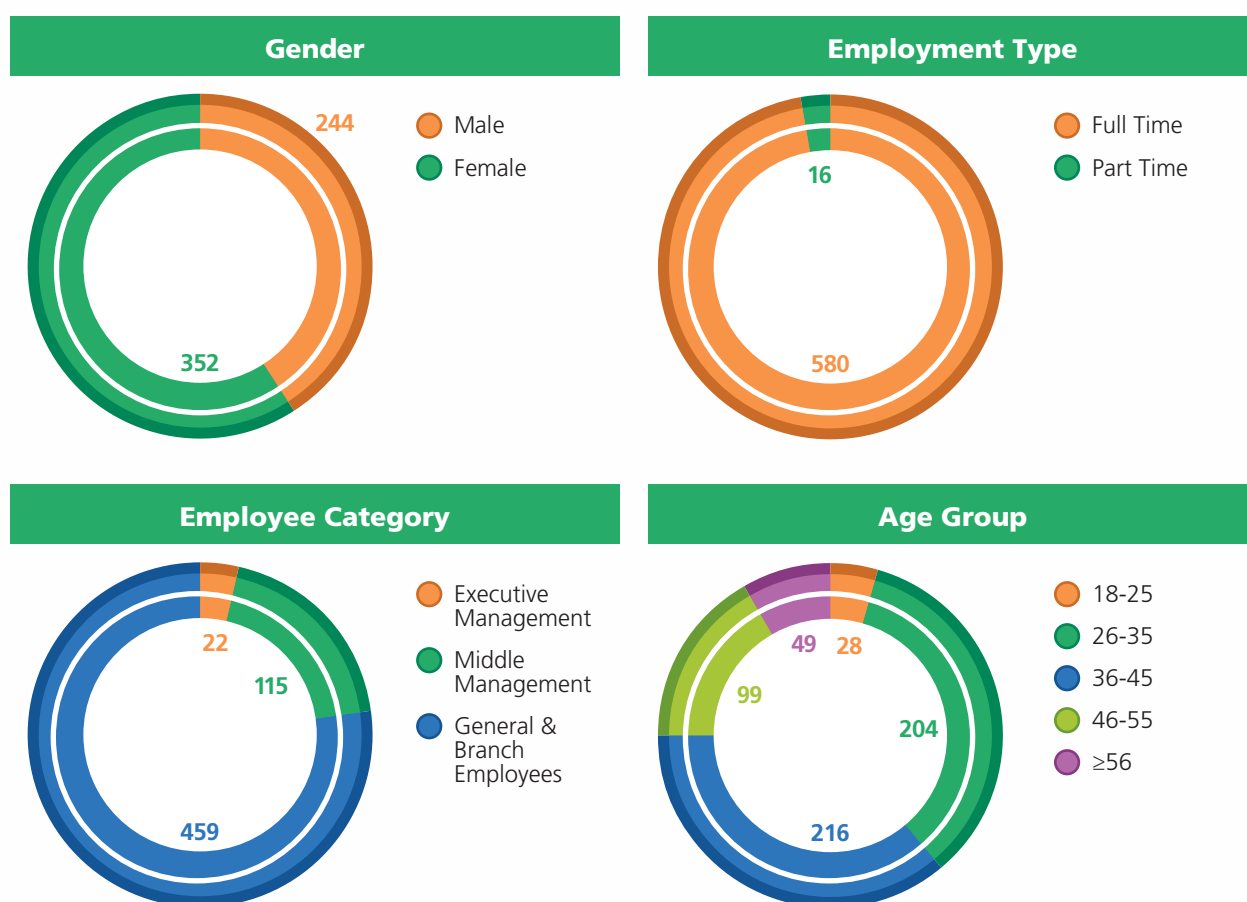
UNSDGs	Targets	FY2024/25 Initiatives
	Target 4.4 Increase the number of youth and adults who have relevant skills, including technical and vocational skills, for employment, decent jobs and entrepreneurship.	Implemented various training programs, effective communications training, leadership development initiatives, management trainee programs, and summer internships foster skill-building and professional growth.
	Target 5.5 Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making.	Promoted diversity and inclusion through equal opportunity policies, grievance mechanisms, ensuring all employees have equal opportunities to thrive.
	Target 8.8 Protect labour rights and promote safe and secure working environments for all workers.	Conducted ESG assessments to ensure compliance and address any violations within our supply chain.

Our people are the heart of our organisation. We are dedicated to creating a workplace that fosters diversity, inclusion, and personal growth. By promoting employee well-being, offering professional development opportunities, and ensuring a supportive and safe work environment, we empower our team to reach their full potential.

Diversity and Inclusive Workplace

We believe diversity drives innovation and strengthens the ability to serve customers effectively. The Group values the differences that can be brought about by a diverse and inclusive workforce, and accordingly upholds the principles of equal employment opportunities to eliminate discrimination, harassment and vilification on grounds of age, sex, sexual orientation, marital status, pregnancy, disability, family status, race, colour, ethnic origins, nationality or religion.

During the Reporting Year, the Group had a total of 596 employees. Our workforce is diverse, with employees from various countries and regions.



Corporate Sustainability Report

Promoting Diversity and Inclusion

We actively promote an inclusive culture where every employee feels respected and has equal opportunities to thrive. The Group has established the Diversity, Inclusion and Equal Opportunities Policy and all policies and practices are designed to eliminate bias and ensure fairness in recruitment, career development and decision-making processes.

Grievance Redressal Mechanism

The group strictly prohibits any forms of discrimination and harassment, including both sexual and non-sexual harassment. Any employee who encounters discrimination, harassment, or victimisation is encouraged to report to the Division/ Department Head and the Human Resources ("HR") Department. The Group maintains a zero-tolerance policy towards any form of discrimination, harassment, victimisation, or vilification in the workplace, including sexual and other forms of harassment. These behaviours are not tolerated under any circumstances.

Any employee found to have violated any relevant ordinances, or any code of conduct issued under the ordinances, or has made allegations that are false or not in good faith faces disciplinary action, including dismissal.

During the Reporting Year, we didn't receive any reports of discrimination or harassment.

Risk Control

The Group prioritises prevention of workplace harassment and have incorporated it into key risk indicators. We continuously monitor relevant regulations to ensure compliance and take appropriate measures to prevent harassment. Additionally, we regularly report the Group's performance on this matter to AFS.

Diversity, Equity & Inclusion Training

In FY2024/25, the Group provided four training sessions on diversity and inclusion to give all employees a better understanding of diversity and thus create a more cohesive and harmonious workplace.



Equal Opportunity
Commission Training



Diversity, Equity &
Inclusion Training

Talent Recruitment and Retention

We believe that attracting, developing and retaining talent is the key to driving long-term success. We are committed to build a robust and transparent talent management framework that ensures a diverse, skilled, and motivated workforce.

The Group is committed to providing its employees with market-competitive remuneration packages, a broad platform for career growth and a positive corporate culture. To attract and retain talents, we have introduced various initiatives, including the Staff Referral Bonus Programme, team-building lunch programme, and Friday Drinks sessions. Additionally, we recognise and reward long-serving employees through Long-Service Award; and outstanding employees through Staff Recognition and Branch Appreciation Awards. The AFS Group also introduced “Senior Executive Award” to recognise senior executives from different subsidiaries with outstanding contributions in enhancing company performance. To ensure market competitiveness, we continuously review and refine our remuneration packages.



Long Service Award-10
Years of Service



Staff Recognition Award

Recruitment

Our Staff Recruitment and Selection Procedure outlines the process for recruiting candidates. All job opportunities are advertised both internally and externally to ensure equal access for all probable candidates. We actively promote diversity in our talent pool by using a variety of recruitment channels, including but not limited to job board posting, head hunting through recruitment agents, career fairs, etc.

We follow a standardised recruitment process that includes candidate sourcing, screening, interviews, selection, employment offers and pre-employment checks. We prohibit any discrimination in the recruitment process. Candidate evaluations are based solely on qualifications, aptitude, skills, and other relevant factors.

Corporate Sustainability Report

In FY2024/25, we participated in several career fairs organised by local universities and the Hong Kong Labour Department. And a total of 142 new employees joined the Group.



University Career Fairs

Employee Wellbeing



We are proud to be a signatory to the “Good Employer Charter 2024” and are recognised as a “Supportive Family-friendly Good Employer” by the Hong Kong Labour Department. We are committed to implementing employee-centric human resources management practices that prioritise the well-being and development of the workforce.

We have established a comprehensive policy and a set of operational procedures in our Employee Handbook covering various key areas such as employee benefits, working hours, leave policy, termination of employment, recruitment and promotion mechanism, code of business ethics, equal employment opportunity, diversity development and anti-discrimination.

We place the physical, mental and emotional well-being of our employees at the forefront of our priorities. In FY2024/25, we expanded our well-being initiatives to foster a healthier and more balanced work environment.

Family Friendly Practices

As a dedicated family-friendly employer, the Company has implemented various family-friendly practices and reviews them on an ongoing basis in order to help employees strike a better balance between work and family commitments.

Special Leave

In addition to national statutory holidays, we also provide paid annual leave, fully paid sick leave, marriage leave, compassionate leave and jury leave, etc. to ensure that our employees enjoy sufficient time for rest and personal affairs.

When an employee gives birth to a new baby, we provide paid maternity and paternity leave as per Employment Ordinance, ensuring the parents are able to bond with their new-borns without compromising their career progression.



Corporate Sustainability Report

Flexible Work Arrangements

We deeply understand the importance of maintaining a healthy work-life balance and therefore do not advocate a culture of overtime work. When employees at specific levels are required to work overtime, we offer additional compensation.

Additionally, we provide flexible working arrangements, including a five-day workweek and work-from-home options under certain circumstances, to help employees better manage their professional responsibilities alongside personal commitments.

Wellbeing Support

We have designed a wide range of insurance programmes for all employees, including medical insurance, life insurance, personal accident insurance and travel insurance, to protect their health and safety in all aspects.

For female employees with newly born babies, we have a dedicated wellness room at head office equipped with necessary equipment such as sanitising utensils, sofa, electric sockets, individual refrigerator, etc. to ensure a comfortable and private space for breastfeeding mother. This year, our wellness room was bestowed a Breastfeeding Friendly Workplace and Breastfeeding Friendly Premises Gold Label award by the UNICEF HK for its design and functionality, recognising our commitment to support the well-being of our employees.

To better promote harmonisation of work and life for our employees, we have set up an Employee Activity Committee, which is committed to creating a positive and harmonious working environment.



Corporate Sustainability Report

Employee Engagement

We are committed to fostering a culture of engagement by encouraging open communication, collaboration, and mutual respect. Through employee satisfaction surveys, feedback channels, and team-building activities, we actively involve our employees in shaping the workplace and creating a sense of belonging.

Employee Communication

Transparent and effective communication remains a cornerstone of our commitment to our people. The Human Resources Department conducts quarterly employee satisfaction surveys on randomly selected employees to get a better understanding of the employees' sense of job satisfaction, recognition of their work, the atmosphere, and general feeling on company culture, management style and any concern in the workplace.

We also communicate regularly with employees at all levels through the following channels:



Over **90%**
of employees responded
to the survey



Over **80%**
of employees with
positive satisfaction



Employee Meeting

- Managerial staff participates in the annual Division Policy Announcement hosted by the Corporate Planning Department for the Group's long-term strategy.
- To enhance our employees' awareness of AEON Group's Ideals, Value Framework and Our Purpose, we hold the AEON Group Vision Meeting every quarter.

Newsletters & Media

- Quarterly distribution of internal newsletters and AFS Group internal magazine 'As ONE' to update all employees on Company and Group developments and boost staff morale.
- Sharing group information and employee stories on public channels such as social media platforms, the company website, and mobile app to engage employees.
- Providing an online suggestion box on the intranet for employees to share feedback and suggestions.



Employee Activities

We organise a variety of employee activities to enhance work-life balance and build stronger connections among our teams. These include wellness programmes, team outings, annual dinner, monthly birthday party, and holiday celebrations that promote camaraderie and a healthy lifestyle.



Annual Dinner



Christmas Party



Mid-Autumn Party



Monthly Birthday Party



Staff BBQ



Wellness Activities

Employee Training and Development

We are committed to encourage continuous professional growth of employees. Through comprehensive training programmes, skill-building workshops, and leadership development initiatives, we provide opportunities for career advancement and personal enrichment.

Employee Training

Our Employee Training and Development Policy provides a framework and lays down procedures for effectively training and developing employees across the organisation. In FY2024/25, our focus on employee training and development continued to be a key priority in supporting both individual and organisational growth.

To ensure employees have the necessary knowledge and skills, we conduct an annual Training Needs Analysis to identify their training and development requirements. One of the major priorities this year is the development of middle management. We aim to enhance the leadership capabilities of our middle managers through targeted training programmes. In terms of specific training, we place significant emphasis on digital skills development, particularly in data analysis. As digital transformation accelerates, equipping employees with the necessary technical expertise is critical to maintaining a competitive edge in the industry. We have introduced the Professional Membership Reimbursement Scheme to support employees' professional growth and encourage continuous learning.

Corporate Sustainability Report

Additionally, we have increased the number of training hours offered through our Learning Management System (“LMS”), ensuring that employees at all levels have access to continuous learning opportunities. To cultivate the culture of life-long learning, a Learning and Development Scheme and the Top Talent Award were launched to recognise employees who actively engaged in training and development.

Learning Management System

LMS is an online platform with a mobile app, offering a wide range of both mandatory and optional training courses. It allows employees to learn at their own pace, providing flexibility and accessibility to support their ongoing development.

To ensure continuous improvement, the Human Resources Department evaluates the efficacy of most training sessions on an anonymous and voluntary basis. The feedback collected is used to assess the effectiveness of the training and to identify areas for improvement in case of unsatisfactory results.



For the upcoming year, we plan to enhance compliance training to mitigate risks such as fraud and improve loan judgment skills, while also prioritising leadership development to engage employees and strengthen our talent pipeline.

Training Programmes

Under our diversified training framework, we offer a range of staff development opportunities through both external and internal training programmes. These programmes are designed to cater to the varied needs of our employees, enhancing their skills and knowledge in alignment with both individual career goals and organisational objectives.

Internal Training

Internal training refers to all training programmes organised by ACSA, AFS, AEON Group and its subsidiary companies. All new employees are required to undergo orientation training and all employees and directors are required to attend the following annual refresher training programmes.

Compliance Refresher Training	IT Basic Training on Information Security Refresher	PCI DSS Awareness Refresher Training	Occupational and Health Safety Refresher Training
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Management training and other internal training programmes are offered on an as-needed or periodic basis depending on the role. For instance, branch and back office employees who need to interact with customers have joined the Effective Communication Training to enhance their skills to foster better relationships and improve overall communication effectiveness. In addition to employees, business consultants, advisors, interns, and other relevant personnel of the Group are also required to complete mandatory trainings, including IT Basic Training on Information Security, PCI DSS Awareness, and Compliance training. During the Reporting Year, this specific group had aggregate attendance of a total of 180 persons, totalling 526.5 training hours.

External Training

External training refers to courses offered outside our Group. Examples of such training are workshops, seminars and training courses organised/conducted by external training consultants, vendors, or business partners.

Employee Development

Beyond training, we also invest in career development programmes to support long-term professional growth.

In FY2024/25, we focused on talent mobility and provided employees with more opportunities to move between departments, helping to foster a dynamic and adaptable workforce. Our programmes for cultivating young talents and leadership development were further strengthened to support employees in realising their full potential and discovering new career opportunities within the organisation.

Cultivating Leadership for Tomorrow

We have launched a new Leadership Programme aimed at fostering professional development of team members. The programme is designed to enhance participants' leadership capabilities and promote innovative thinking, and build a strong talent pool for future succession planning within the Group. By developing stronger leaders, we aim to drive adaptability, encourage innovation, strengthen our competitive edge, support employee development, promote strategic thinking, and create valuable networking opportunities.

A group of selected talents were nominated to participate in this initiative, which covered five key topics:

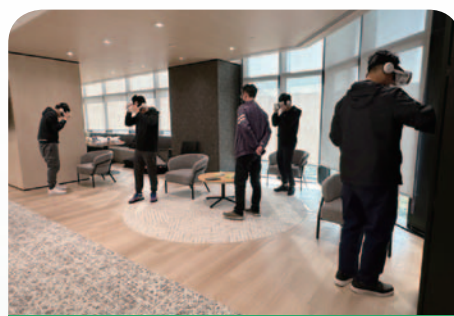
Decoding
Personality

Mind Game of
Changes

Creative
Problem
Solving

Just-in-Time
Coaching

VR Team
Building
Training



Leadership Training

Corporate Sustainability Report

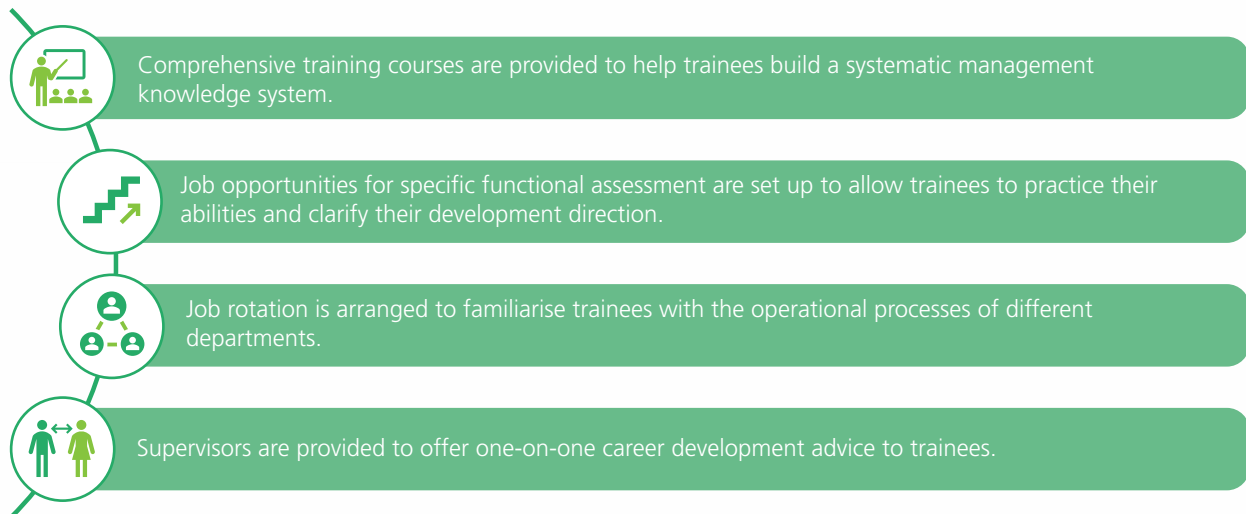
Management Trainee

To support the Group's long-term growth and success, we have launched a Management Trainee Programme aimed at identifying and nurturing young talents with strong leadership potential. This one-year programme is designed to equip participants with the skills and experience required for middle and senior management roles. By developing a pool of talented and skilled individuals, the programme ensures a capable workforce and effective leadership to drive the Group's future success.

In FY2024/25, we onboarded 5 trainees who participate in departmental rotations, gaining experience in two office departments and two branches to develop a well-rounded understanding of operations. The programme also includes company visits, team-building activities, and professional development training, covering communication and presentation skills, fraud trends and prevention, ICAC talks, and ESG initiatives.



Management Trainee Programme



Internship Programme

The Group's summer internship programme is designed to provide students with a valuable opportunity to gain first-hand experience in the financial services industry.

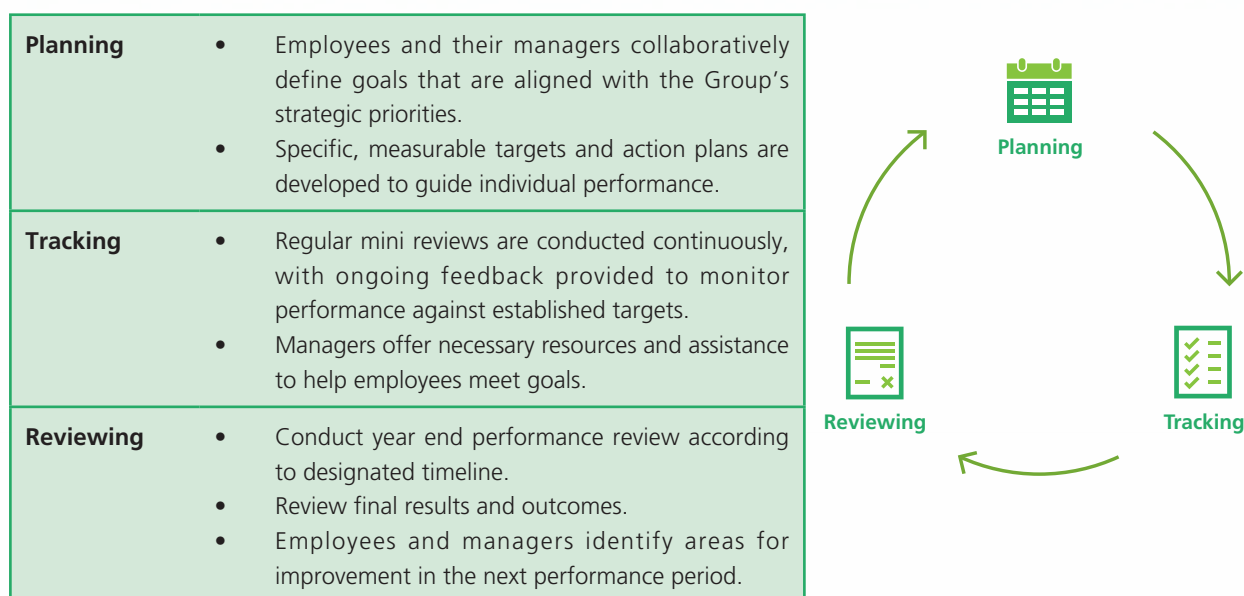
In FY2024/25, we hired 8 interns who actively contributed during their internship period. They rotated across various departments, engaged in specialised tasks aligned with their areas of interest, and gained comprehensive exposure to different aspects of financial services.

Performance Management

We recognise the importance of a robust performance management system to empower employees and drive organisational success. By adopting a management by objectives approach, we focus on setting clear goals, providing continuous feedback, and fostering a culture of accountability and growth.

Process of Performance Management System

The process is divided into three key stages that ensure alignment between individual and organisational goals.



Appraisal Components

The PMS evaluates employees using two key components: Target Management and Competency Evaluation.

Target Management: Employees set specific targets at the start of the performance period. Progress toward targets is continuously monitored through mini-reviews and mid-year adjustments. At the end of the financial year, employees' target achievements are formally reviewed and evaluated.

Competency Evaluation: Employees are evaluated on key competencies relevant to their roles. The assessment incorporates several key components, including business attitude, code of conduct, communication effectiveness, overall work performance, face-to-face feedback session, and specific team and individual targets aligned with the Group's overall strategy.

All employees are encouraged to complete self-assessments as part of the evaluation process, which are then combined with the appraiser's evaluation to form the final assessment result.

Corporate Sustainability Report

Outcomes

Results of the performance evaluation and appraisal process serve as the basis for key HR decisions. Appraisal outcomes are directly linked to salary increments, discretionary bonuses, and other rewards. High-performing employees are recognised and considered for leadership roles, internal mobility, and promotion opportunities. For employees who require additional support, tailored improvement plans and coaching are provided to help them enhance their performance and achieve success.

Human Rights and Labour Practices

The Group is committed to upholding the highest standards of human rights and labour practices throughout the organisation. Guided by international principles and practices, including the United Nations Universal Declaration of Human Rights and the International Labour Organisation (“ILO”) standards, we strive to create a workplace that respects human dignity, promotes equality, and ensures fair and ethical treatment for all employees.

Our policies and procedures are designed to ensure compliance with minimum wage laws, working hour regulations, workplace safety standards, and anti-discrimination laws. This year, we have updated our policies to include enhanced protection for labour, reinforcing our commitment to upholding human rights.

We reject and condemn all forms of forced labour, including bonded labour, child labour, human trafficking, and modern slavery. We do not tolerate any practices that deprive individuals of their freedom, coerce or deceive them into work, or subject them to physical or psychological harm. We are committed to ensuring that our employees and suppliers operate under fair and voluntary employment conditions.

Suppliers and business partners are required to comply with our ESG Guidance Note, which outlines expectations regarding human rights, labour practices, and ethical business behaviour. Regular audits and ESG assessments are conducted to ensure compliance and address violations.

The Human Resources Department is responsible for age verification and integrity background checks on candidates to ensure that misuse of child labour is eliminated. In the event of any instance of use of child labour or forced labour, we take immediate action to resolve the issue quickly and take measures to prevent such incidents from recurring.

We inform employees about relevant labour laws and regulations during orientation and conduct annual refresher compliance training. We have confidential channels for making complaints in place so as to address any relevant complaints of employees.

Occupational Health and Safety

Protecting the health and safety of our employees is our primary responsibility. The Group strictly complied with relevant Occupational Health and Safety (“OHS”) laws and regulations⁷. We have developed the Occupational Safety and Health Guidelines as a comprehensive framework to minimise risks and protect employees from occupational hazards. Our safety performance for the Reporting Year is set out below:

Occupational Health and Safety	FY2024/25	FY2023/24	FY2022/23
No. of work-related fatalities	0	0	0
Rate of work-related fatalities	0	0	0
Work-related injury (case)	0	0	2
Lost days due to work-related injury	0	0	14

The Group is committed to continually enhancing the performance of its OHS management. To promote workplace safety, we conduct annual workstation risk and safety assessment survey, along with comprehensive inspections of office areas and essential facilities, such as water and electricity systems, to identify potential risks and address any issues promptly. For material risks identified, we establish a prioritisation framework and action plan to ensure timely mitigation.

To ensure a well-prepared work environment, we organise regular fire drills and provide annual OHS refresher training to reinforce safety awareness and emergency preparedness.

A workplace injury investigation procedure is in place to ensure proper handling of work-related injuries. In the event of an injury, the employee who is injured at work should immediately report to the division/department head and complete an “Employee Work Accident Report” after receiving treatment. The report should detail the date, time, nature, location, and cause of the accident and will be submitted to the Human Resources Department.



OHS Training

Promote Employee Health

To alleviate employee work-related stress and promote both physical and mental well-being, we have organised several initiatives aimed at supporting our employees’ health.

In FY2024/25, first aid training was arranged for assigned employees at headquarters and branches to enhance emergency response capabilities. Additionally, to promote mental and physical health, we have also organised a “Bonsai Creation” activity to offer a meditative way to manage work-related stress; as well as launched a “Health Diet Day” and a healthcare session to provide employees with professional health advice and maintain their well-being.



First Aid Training



Mental Wellness-
Bonsai Creation



Physical Wellness-
Health Diet Day

⁷ List of applicable laws and regulations available in “Laws and Regulations” section in this CS Report.

Corporate Sustainability Report

COMMITMENT TO OUR COMMUNITY

UNSDGs	Targets	FY2024/25 Initiatives
	Target 4.4 Increase the number of youth and adults who have relevant skills, including technical and vocational skills, for employment, decent jobs and entrepreneurship.	- Sponsored the ‘SDG Actioner Challenge’ for Ethnic Minority Youth Programme organised by UNICEF HK for 2 consecutive years. - Sponsored the “Young Envoys Programme” organised by UNICEF HK for 17 consecutive years. - Provided scholarships for 7 government funded universities in Hong Kong and 2 universities in Mainland China.
	Target 13.1 Strengthen resilience and adaptive capacity to climate-related hazards and natural disasters.	Organised an annual tree planting event, planting approximately 200 saplings at Tai Lam Country Park.

We are deeply committed to making a positive difference in the communities where we operate. The Group is dedicated to being a responsible corporate citizen and actively contributes to betterment of the society, with a focus on creating sustainable impacts that benefit all stakeholders. During the Reporting Year, the Group donated approximately HK\$2.232 million and gifted 170 volunteer hours to organisations working for the community.

Guided by AEON’s foundational ideals of ***“Pursuing peace, respecting humans, and contributing to local communities, always with customers as our starting point”*** along with our [Sustainability Development Policy](#) and Corporate Social Responsibility Guidelines, we continue to engage with the community. Our efforts primarily focus on environmental protection and youth education, aiming to uplift individuals and communities in need.

Environmental Protection

Annual Tree Planting

We have joined hands with AEON Stores (Hong Kong) for the last two consecutive years and co-hosted “Tree Planting Challenge 2024”. Under the instructions of a certified tree arborist, around 40 employees from the Group successfully planted approximately 200 saplings at Tai Lam Country Park, expecting to offset approximately 4.6 tonnes of carbon dioxide equivalent.



Earth Hour 2024

We participated in the global environmental initiative, "Earth Hour 2024" organised by the World Wide Fund for Nature Hong Kong ("WWF-Hong Kong"). As part of our commitment to sustainability, the Company turned off its LED rooftop signage at Centre Point in Wanchai for an hour. Through this action, we demonstrated our dedication to reducing energy consumption and contributing to a more sustainable future.



Bonus Point Donation

The Group also encourages customers to support community development through "Bonus Point Donation Scheme". Under the scheme, our cardholders can channel their donations to support the environmental conservation works of the WWF-Hong Kong and community projects of Sowers Action.



Education

UNICEF 'SDG Actioner Challenge' for Ethnic Minority Youth 2024

Sponsored by AEON Credit Service for two consecutive years, the 'SDG Actioner Challenge' for Ethnic Minority Youth Programme was organised by UNICEF HK, with the goal of championing United Nations Sustainable Development Goal 13, Climate Action; and fostering impactful school-based/ community projects with a focus on 'Waste Solution'. The 'Waste Solution' projects include transforming food waste into fertiliser for plants, creating smart recycling bins to track campus waste, making eco-friendly cleaning agents from recycled fruit peels, and upcycling plastic waste; demonstrating how the public could engage in climate action in their daily lives.



Corporate Sustainability Report

University Scholarships

The Group is currently providing scholarships to students of seven government funded universities in Hong Kong and two universities in Mainland China. Undergraduate students with outstanding academic performance are selected every year and each awardee in Hong Kong receives a scholarship of HK\$10,000. These scholarships were established in a hope of encouraging the young generation to contribute to the society while pursuing their dreams.



Universities in Hong Kong

- The University of Hong Kong
- The Hong Kong University of Science and Technology
- New Asia College, The Chinese University of Hong Kong
- City University of Hong Kong
- The Hong Kong Polytechnic University
- Hong Kong Baptist University
- Lingnan University

Universities in Mainland China

- Shenzhen University
- Sun Yat-Sen University

Cultural Exchange

UNICEF Young Envoys Programme 2024

Since 2008, our group has been the exclusive sponsor of the “Young Envoys Programme” organised by UNICEF HK. In FY2024/25, 18 outstanding Young Envoys were selected for a field trip to Japan, in July. During the four-day tour, they visited The Japan Committee for UNICEF, Hanegi Playground, a youth centre in Setagaya Ward, and Machida City, a child-friendly city. The Young Envoys had the chance to meet local government officials, interact with Japanese youth and children and share their experiences in community services, environmental projects, and surveys.



Community Partnership

Healthy Children • Happy Family

The social programme “Healthy Children • Happy Family,” organised by Sowers Action, focuses on promoting personal development, advocating sustainable lifestyles, and supporting underprivileged children and their families in the Sham Shui Po district to improve their living conditions. In May 2024, our volunteers joined the visit to Go Green Organic Farm at Yuen Long for event support and management. They took this opportunity to communicate and interact with beneficiary families.



APPENDIX

Laws and Regulations

Aspect	Applicable Laws and Regulations	Compliance Statement
Environment	• Air Pollution Control Ordinance • Ozone Layer Protection Ordinance • Road Traffic Ordinance • Noise Control Ordinance • Waste Disposal Ordinance • Water Pollution Control Ordinance • Sewage Services Ordinance • Environmental Protection Law of the People's Republic of China	We strictly comply with relevant laws and regulations regarding environmental protection. During the Reporting Year, the Group was not aware of any significant impact of its activities relating to air and greenhouse gas emissions, discharges into water and land, and generation of hazardous and non-hazardous waste.
Employment	• Employment Ordinance • Employees' Compensation Ordinance • Minimum Wage Ordinance • Mandatory Provident Fund Schemes Ordinance • Sex Discrimination Ordinance • Disability Discrimination Ordinance • Family Status Discrimination Ordinance • Race Discrimination Ordinance • Labour Law of the People's Republic of China • Provisions of the Prohibition of Using Child Labour of the People's Republic of China Law	We strictly comply with relevant laws and regulations regarding employment and labour practices. During the Reporting Year, the Group was not aware of any legal or regulatory matters relating to compensation and dismissal, recruitment and promotion, working hours, rest periods, equal opportunity, diversity, anti-discrimination, and other benefits and welfare, prevention of child labour and forced labour that have a material impact on the Group.
Health and Safety	• Occupational Safety and Health Ordinance • Fire Safety (Commercial Premises) Ordinance of Hong Kong	We strictly comply with relevant laws and regulations regarding occupational health and safety. During the Reporting Year, the Group was not aware of any instances of breach of laws or regulations relating to occupational health and safety standards.

Corporate Sustainability Report

Aspect	Applicable Laws and Regulations	Compliance Statement
Product Responsibility	• Insurance Ordinance • Money Lenders Ordinance • Trade Descriptions Ordinance • Personal Data (Privacy) Ordinance • Copyright Ordinance • Unsolicited Electronic Messages Ordinance • Competition Ordinance	We strictly comply with relevant laws and regulations regarding product responsibility. During the Reporting Year, the Group was not aware of any breach of laws and regulations relating to its products, services, operations, sales and promotions or other business practices that could have resulted in sanctions or lead to liabilities for material adverse effect. The Group was also not aware of any breach of data security as it strictly complied with the relevant laws and regulations in all jurisdictions in which it operates.
Anti-corruption	• Anti-Money Laundering and Counter-Terrorist Financing (Financial Institutions) Ordinance • The Drug Trafficking (Recovery of Proceeds) Ordinance • The Organised and Serious Crimes Ordinance • Prevention of Bribery Ordinance • The United Nations (Anti-Terrorism Measures) Ordinance ("UNATMO") • The United Nations Sanctions Ordinance • Weapons of Mass Destruction (Control of Provision of Services) Ordinance • Guideline on Anti-Money Laundering and Counter-Financing of Terrorism (For Licensed Money Lenders)	We strictly comply with all laws and regulations regarding anti-corruption. During the Reporting Year, the Group was not aware of any activities relating to bribery, extortion, fraud and money laundering laws that could have had a significant impact on the Group.

Performance Data Summary

Environmental

Environmental KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Air Emissions							
Nitrogen oxides (NO _x)	Kg	1.29	0.97	2.89	2.79	4.18	3.76
Sulphur oxides (SO _x)	Kg	0.02	0.02	0.08	0.09	0.10	0.11
Particulate matter (PM)	Kg	0.09	0.07	0.21	0.21	0.30	0.28
Energy Consumption							
Direct Energy							
Petrol	kWh	15,181.04	12,149.72	53,583.95	59,861.82	68,764.99	72,011.54
Petrol	Litres	1,566.45	1,253.66	5,529.04	6,176.82	7,095.49	7,430.48
Indirect Energy							
Electricity	kWh	926,174.75	773,359.84	192,614.50	189,017.50	1,118,789.25	962,377.34
Total energy consumption	kWh	941,355.79	785,509.56	246,198.45	248,879.32	1,187,554.24	1,034,388.88
Energy consumption intensity	kWh/sq ft	17.32	15.16	9.72	11.20	14.90	13.97
GHG Emissions ⁸							
Scope 1 (Direct GHG emissions) ⁹	tonnes CO ₂ e	4.17	3.33	14.71	16.43	18.88	19.76
Scope 2 (Energy indirect GHG emissions) ¹⁰	tonnes CO ₂ e	396.61	371.64	103.36	107.8	499.97	479.44
Scope 3 (Other indirect GHG emissions) ¹¹	tonnes CO ₂ e	11.60	7.91	6.97	2.99	18.57	10.90
Total GHG emissions (Scope 1, 2 and 3)	tonnes CO ₂ e	412.38	382.88	125.04	127.22	537.42	510.10
Total GHG emissions intensity	tonnes CO ₂ e/sq ft	0.0076	0.0074	0.0049	0.0057	0.0067	0.0069

⁸ Our GHG emissions include CO₂, CH₄ and N₂O and are converted to reflect the CO₂ equivalent. The GHG emissions are calculated in accordance with "How to Prepare an ESG Report Appendix 2: Reporting Guidance on Environmental KPIs" issued by the Hong Kong Stock Exchange ("HKEX"), which is aligned with Greenhouse Gas Protocol: A Corporate Accounting and Reporting Standard (2004) and "GHG Protocol Value Chain (Scope 3) Accounting and Reporting Standard (2011)". The consolidation approach is based on operational control, as it provides access to relevant operational data.

⁹ Scope 1 refers to direct GHG emissions. Its disclosures mainly include emissions from the consumption of liquid and gaseous fuels in motor vehicles. The source of emission factors is from GHG Protocol Emission Factors from Cross-Sector Tools

¹⁰ Scope 2 refers to indirect GHG emissions from the consumption of purchased electricity of our head office, all branches in Hong Kong, data centres in Hong Kong and two companies in Mainland China. Emission factors are obtained from local utility companies and updated yearly according to the annual report of CLP Power Hong Kong Limited ("CLP"), Hongkong Electric Company ("HKE"), and "Announcement of the Release of the 2022 CO₂ Emission Factors for Electricity" published by the Ministry of Ecology and Environment of the People's Republic of China (《關於發佈2022年電力二氧化碳排放因子的公告》).

¹¹ Scope 3 disclosure includes air freight business travel only.

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Environmental KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Waste							
Hazardous Waste							
Miscellaneous electronic equipment (including computers and monitors)	pcs	78	1,146	52	45	130	1,191
Fluorescent tubes/light bulb	pcs	0	552	0	0	0	552
Total hazardous waste	pcs	78	1,698	52	45	130	1,743
Hazardous waste intensity	pcs/employee	0.21	4.43	0.24	0.24	0.22	3.07
Non-hazardous Waste							
General waste	tonnes	185.28	163.95	19.32	19.18	204.60	183.13
Non-hazardous waste intensity	tonnes/employee	0.49	0.43	0.09	0.10	0.35	0.32
Waste Recycling							
Miscellaneous electronic equipment recycling	pcs	78	1,116	0	0	78	1,116
Plastic recycling	tonnes	0.10	0.06	N/A	N/A	0.10	0.06
Paper recycling	tonnes	1.20	7.09	N/A	N/A	1.20	7.09
Water Consumption							
Water consumption	m³	432.00	328	3,273.43	4,098.56	3,705.43	4,426.56
Water consumption intensity	m³/sq ft	0.01	0.01	0.13	0.18	0.06	0.07

Social

Social KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Workforce							
Total Workforce ¹²	People	380	383	216	184	596	567
By Gender							
Male	People	185	189	59	40	244	229
Female	People	195	194	157	144	352	338
By Employment Type							
Full-time	People	364	368	216	184	580	552
Part-time ¹³	People	16	15	0	0	16	15
By Age Group							
18-25	People	19	32	9	4	28	36
26-35	People	118	117	86	68	204	185
36-45	People	116	115	100	96	216	211
46-55	People	79	75	20	15	99	90
Over 56	People	48	44	1	1	49	45
By Employee Category							
Executive management	People	17	18	5 ¹⁴	3 ¹⁴	22 ¹⁴	21 ¹⁴
Middle management	People	90	89	25 ¹⁴	19 ¹⁴	115 ¹⁴	108 ¹⁴
General & branch employees	People	273	276	186 ¹⁴	162 ¹⁴	459 ¹⁴	438 ¹⁴
By Geographical Region							
Hong Kong	People					380	383
Mainland China	People					216	184

¹² Independent Non-executive Directors are not included in total number of employees.

¹³ Only included employee who is employed under a continuous contract.

¹⁴ Restated data.

Corporate Sustainability Report

Social KPIs	Hong Kong		Mainland China FY2024/25		Group Total	
Share of Workforce in Specific Positions						
	People	%	People	%	People	%
All Management Positions ¹⁵						
Male	93	58.9	21	46.7	114	56.2
Female	65	41.1	24	53.3	89	43.8
Executive Management Positions						
Male	12	70.6	2	40.0	14	63.6
Female	5	29.4	3	60.0	8	36.4
Middle Management Positions						
Male	54	60.0	12	48.0	66	57.4
Female	36	40.0	13	52.0	49	42.6
Junior Management Positions						
Male	27	52.9	7	46.7	34	51.5
Female	24	47.1	8	53.3	32	48.5
Management Position in Revenue-generating Functions ¹⁶						
Male	23	50.0	3	21.4	26	43.3
Female	23	50.0	11	78.6	34	56.7
STEM-related Positions ¹⁷						
Male	30	81.1	7	100.0	37	84.1
Female	7	18.9	0	0	7	15.9

¹⁵ All management positions include executive management, middle management, and junior management.

¹⁶ Revenue-generating functions include Corporate Business, Marketing & Promotion and Branch Sales Department.

¹⁷ STEM-related positions include roles in IT Infrastructure Operations, IT Security, Systems Department and Support, as well as Data Analytics Department.

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Social KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Turnover Rate (Full-time Staff Only)							
Total Employee Turnover Rate	%	15.9	25.1	18.0	13.5	16.6	21.3
By Gender							
Male	%	7.7	12.1	7.0	7.3	7.4	10.5
Female	%	8.2	12.9	11.0	6.2	9.2	10.7
By Age Group							
18-25	%	1.1	2.8	0.5	1.7	0.8	2.4
26-35	%	6.0	10.2	8.5	5.6	6.9	8.7
36-45	%	3.6	5.5	8.5	5.1	5.3	5.4
46-55	%	2.5	4.1	0.5	1.1	1.8	3.1
Over 56	%	2.7	2.5	0.0	0.0	1.8	1.7
By Employee Category							
Executive management	%	0.3	–	0.0	–	0.2	–
Middle management	%	3.3	–	2.5	–	3.0	–
General & branch employees	%	12.3	–	15.5	–	13.4	–
Voluntary Employee Turnover Rate	%	13.7	–	17.0	–	14.8	–
New Hires							
Total New Hires	People	74	–	68	–	142	–
By Gender							
Male	People	33	–	32	–	65	–
Female	People	41	–	36	–	77	–
By Age Group							
18-25	People	16	–	7	–	23	–
26-35	People	22	–	39	–	61	–
36-45	People	18	–	20	–	38	–
46-55	People	9	–	2	–	11	–
Over 56	People	9	–	0	–	9	–
By Employee Category							
Executive management	People	1	–	1	–	2	–
Middle management	People	5	–	12	–	17	–
General & branch employees	People	68	–	55	–	123	–

Corporate Sustainability Report

Social KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Employee Training and Development							
The Total Percentage of Employees Trained ¹⁸	%	100	100	100	100	100	100
By Gender							
Male	%	100	100	100	100	100	100
Female	%	100	100	100	100	100	100
By Employee Category ¹⁹							
Executive management	%	100	100	100	100	100	100
Middle management	%	100	100	100	100	100	100
General & branch employees	%	100	100	100	100	100	100
The Average Training Hours Completed Per Employee ²⁰	Hour	23.3	22.3	15.9	21.2	20.6	21.9
By Gender							
Male	Hour	24.4	21.4	15.3	20.7	22.2	21.3
Female	Hour	22.3	23.1	16.1	21.3	19.5	22.3
By Employee Category ²¹							
Executive management	Hour	19.7	23.6	15.1	17.1 ²²	18.7	22.7 ²²
Middle management	Hour	26.6	23.2	14.9	20.5 ²²	24.1	22.7 ²²
General & branch employees	Hour	22.4	20.5	16.1	21.3 ²²	19.9	20.8 ²²

¹⁸ The percentage of employees trained is calculated as “total number of employees trained during the financial year divided by total number of employees at the end of the financial year and then multiplied by 100%”.

¹⁹ For meaningful comparison, the employee categories have been adjusted to 3 levels – Executive Management, Middle Management and General & Branch Employees, aligning with the disclosure in total workforce.

²⁰ Average training hours completed per employee is calculated as “total hours of employees trained during the financial year divided by total number of employees at the end of the financial year”.

²¹ For meaningful comparison, the employee categories have been adjusted to 3 levels – Executive Management, Middle Management and General & Branch Employees, aligning with the disclosure in total workforce.

²² Restated data.

Corporate Sustainability Report

Social KPIs	Unit	Hong Kong		Mainland China		Group Total	
		FY2024/25	FY2023/24	FY2024/25	FY2023/24	FY2024/25	FY2023/24
Supply Chain							
Total Suppliers	Number	526	573	396	360	922	933
By Geographical Region							
Hong Kong	Number	491	533	2	1	493	534
Mainland China	Number	8	10	390	359	398	369
Japan	Number	7	7	4	0	11	7
Other regions	Number	20	23	0	0	20	23

Corporate Sustainability Report

ESG GUIDE CONTENT INDEX

Material Aspects	Content	Reference/Remarks
Mandatory Disclosure Requirements		
Governance Structure		
Board Statement	A disclosure of the Board's oversight of ESG issues;	OUR SUSTAINABILITY APPROACH — Board Statement
	The Board's ESG management approach and strategy, including the process used to evaluate, prioritise and manage material ESG-related issues (including risks to the issuer's businesses); and	OUR SUSTAINABILITY APPROACH — Board Statement
	How the Board reviews progress made against ESG-related goals and targets with an explanation of how they relate to the issuer's businesses.	OUR SUSTAINABILITY APPROACH — Board Statement
Reporting Principles		
Description of the application of the Reporting Principles	Materiality: The ESG report should disclose: (i) the process to identify and the criteria for the selection of material ESG factors; (ii) if a stakeholder engagement is conducted, a description of significant stakeholders identified, and the process and results of the issuer's stakeholder engagement.	Materiality assessment is conducted to identify and prioritise material sustainability topics. The topics are reviewed and validated by the Board.
	Quantitative: Information on the standards, methodologies, assumptions and/or calculation tools used, and source of conversion factors used, for the reporting of emissions/energy consumption (where applicable) should be disclosed.	Performance Data Summary is prepared for our stakeholders to keep track of and evaluate the Group's ESG performance.
	Balance: The ESG report should provide an unbiased picture of the issuer's performance. The report should avoid selections, omissions, or presentation formats that may inappropriately influence a decision or judgment by the report reader.	This CS Report provides an unbiased disclosure of the Group's sustainability performance, facilitating an informed evaluation of the overall performance.
	Consistency: The issuer should disclose in the ESG report any changes to the methods or KPIs used, or any other relevant factors affecting a meaningful comparison.	Consistent methodologies have been adopted to allow for a fair comparison over time.

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
Reporting Boundary		
Description	A narrative explaining the reporting boundaries of the ESG report and describing the process used to identify which entities or operations are included in the ESG report. If there is a change in the scope, the issuer should explain the difference and reason for the change.	ABOUT THE REPORT — Reporting Scope and Boundary
Comply or Explain Provisions		
A. Environmental		
Aspect A1: Emissions		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to air and greenhouse gas emissions, discharges into water and land, and generation of hazardous and non-hazardous waste.	COMMITMENT TO OUR ENVIRONMENT — Green Operation APPENDIX — Laws and Regulations
A1.1	The types of emissions and respective emissions data.	COMMITMENT TO OUR ENVIRONMENT — Green Operation — Energy Saving and Emissions Reduction — Air Emissions APPENDIX — Performance Data Summary
A1.2	Direct (Scope 1) and energy indirect (Scope 2) greenhouse gas emissions (in tonnes) and, where appropriate, intensity (e.g. per unit of production volume, per facility).	COMMITMENT TO OUR ENVIRONMENT — Green Operation — Energy Saving and Emissions Reduction — GHG Emissions APPENDIX — Performance Data Summary
A1.3	Total hazardous waste produced (in tonnes) and, where appropriate, intensity (e.g. per unit of production volume, per facility).	Since the Group does not produce hazardous waste in substantial quantities, we have not established a reduction target for hazardous waste.

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
A1.4	Total non-hazardous waste produced (in tonnes) and, where appropriate, intensity. (e.g. per unit of production volume, per facility)	COMMITMENT TO OUR ENVIRONMENT — Green Operation — Waste Reduction — Non-hazardous Waste APPENDIX — Performance Data Summary
A1.5	Description of emissions target(s) set and steps taken to achieve them.	COMMITMENT TO OUR ENVIRONMENT — Green Operation
A1.6	Description of how hazardous and non-hazardous wastes are handled, and a description of reduction target(s) set and steps taken to achieve them.	COMMITMENT TO OUR ENVIRONMENT — Green Operation — Waste Reduction
Aspect A2: Use of Resources		
General Disclosure	Policies on the efficient use of resources, including energy, water and other raw materials.	COMMITMENT TO OUR ENVIRONMENT — Green Operation
A2.1	Direct and/or indirect energy consumption by type (e.g. electricity, gas or oil) in total (kWh in '000s) and intensity (e.g. per unit of production volume, per facility).	ENVIRONMENT — Green Operation — Energy Saving and Emissions Reduction — Energy Consumption APPENDIX — Performance Data Summary
A2.2	Water consumption in total and intensity (e.g. per unit of production volume, per facility).	COMMITMENT TO OUR ENVIRONMENT — Green Operation — Water Efficiency APPENDIX — Performance Data Summary
A2.3	Description of energy use efficiency target(s) set and steps taken to achieve them.	COMMITMENT TO OUR ENVIRONMENT — Green Operation

Material Aspects	Content	Reference/Remarks
A2.4	Description of whether there is any issue in sourcing water that is fit for purpose, water efficiency target(s) set and steps taken to achieve them.	Given that water resources do not constitute a significant material aspect of our operations, we have not set a reduction target for water consumption.
A2.5	Total packaging materials used for finished products (in tonnes) and, if applicable, with reference to per unit produced.	Packaging materials are not material to the operations of the Group as it is a financial services provider.
Aspect A3: The Environment and Natural Resources		
General Disclosure	Policies on minimising the issuer's significant impacts on the environment and natural resources.	COMMITMENT TO OUR ENVIRONMENT — Green Operation
A3.1	Description of significant impacts of activities on the environment and natural resources and the actions taken to manage them.	COMMITMENT TO OUR ENVIRONMENT — Green Operation
Aspect A4: Climate Change		
General Disclosure	Policies on identification and mitigation of significant climate-related issues which have impacted, and those which may impact, the issuer.	COMMITMENT TO OUR ENVIRONMENT — Addressing Climate Change — Risk Management
A4.1	Description of the significant climate-related issues which have impacted, and those which may impact, the issuer, and the actions taken to manage them.	COMMITMENT TO OUR ENVIRONMENT — Addressing Climate Change — Strategy
B. Social		
Aspect B1: Employment		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to compensation and dismissal, recruitment and promotion, working hours, rest periods, equal opportunity, diversity, anti-discrimination, and other benefits and welfare.	COMMITMENT TO OUR PEOPLE APPENDIX — Laws and Regulations

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
B1.1	Total workforce by gender, employment type (for example, full- or part- time), age group and geographical region.	COMMITMENT TO OUR PEOPLE — Diversity and Inclusive Workplace APPENDIX — Performance Data Summary
B1.2	Employee turnover rate by gender, age group and geographical region.	APPENDIX — Performance Data Summary
Aspect B2: Health and Safety		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to providing a safe working environment and protecting employees from occupational hazards.	COMMITMENT TO OUR PEOPLE — Occupational Health and Safety APPENDIX — Laws and Regulations
B2.1	Number and rate of work-related fatalities occurred in each of the past three years including the reporting year.	COMMITMENT TO OUR PEOPLE — Occupational Health and Safety
B2.2	Lost days due to work injury.	COMMITMENT TO OUR PEOPLE — Occupational Health and Safety
B2.3	Description of occupational health and safety measures adopted, and how they are implemented and monitored.	COMMITMENT TO OUR PEOPLE — Occupational Health and Safety — Occupational Health and Safety
Aspect B3: Development and Training		
General Disclosure	Policies on improving employees' knowledge and skills for discharging duties at work. Description of training activities. Note: Training refers to vocational training. It may include internal and external courses paid by the employer.	COMMITMENT TO OUR PEOPLE — Employee Training and Development
B3.1	The percentage of employees trained by gender and employee category (e.g. senior management, middle management).	APPENDIX — Performance Data Summary
B3.2	The average training hours completed per employee by gender and employee category.	APPENDIX — Performance Data Summary

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
Aspect B4: Labour Standards		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to preventing child and forced labour.	COMMITMENT TO OUR PEOPLE — Human Rights and Labour Practices
B4.1	Description of measures to review employment practices to avoid child and forced labour.	COMMITMENT TO OUR PEOPLE — Human Rights and Labour Practices
B4.2	Description of steps taken to eliminate such practices when discovered.	COMMITMENT TO OUR PEOPLE — Human Rights and Labour Practices
Aspect B5: Supply Chain Management		
General Disclosure	Policies on managing environmental and social risks of the supply chain.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Supply Chain Management
B5.1	Number of suppliers by geographical region.	APPENDIX — Performance Data Summary
B5.2	Description of practices relating to engaging suppliers, number of suppliers where the practices are being implemented, and how they are implemented and monitored.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Supply Chain Management — Supplier Selection
B5.3	Description of practices used to identify environmental and social risks along the supply chain, and how they are implemented and monitored.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Supply Chain Management — Supply Chain Management Approach
B5.4	Description of practices used to promote environmentally preferable products and services when selecting suppliers, and how they are implemented and monitored.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Supply Chain Management

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
Aspect B6: Product Responsibility		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to health and safety, advertising, labelling and privacy matters relating to products and services provided and methods of redress.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS
B6.1	Percentage of total products sold or shipped subject to recalls for safety and health reasons.	Product recalls for safety and health reasons are not material to the operations of the Group as a financial service provider.
B6.2	Number of products and service related complaints received and how they are dealt with.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Customer Satisfaction
B6.3	Description of practices relating to observing and protecting intellectual property rights.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Data Privacy and Security — Intellectual Property Protection
B6.4	Description of quality assurance process and recall procedures.	Refer to B6.1
B6.5	Description of consumer data protection and privacy policies, and how they are implemented and monitored.	COMMITMENT TO OUR CUSTOMERS AND BUSINESS PARTNERS — Data Privacy and Security

Corporate Sustainability Report

Material Aspects	Content	Reference/Remarks
Aspect B7: Anti-corruption		
General Disclosure	Information on: (a) the policies; and (b) compliance with relevant laws and regulations that have a significant impact on the issuer relating to bribery, extortion, fraud and money laundering.	COMMITMENT TO OUR BUSINESS
B7.1	Number of concluded legal cases regarding corrupt practices brought against the issuer or its employees during the reporting period and the outcomes of the cases.	COMMITMENT TO OUR BUSINESS — Business Ethics — Anti-corruption
B7.2	Description of preventive measures and whistle-blowing procedures, and how they are implemented and monitored.	COMMITMENT TO OUR BUSINESS — Whistleblowing Mechanism
B7.3	Description of anti-corruption training provided to directors and staff.	COMMITMENT TO OUR BUSINESS — Business Ethics — Anti-corruption training
Aspect B8: Community Investment		
General Disclosure	Policies on community engagement to understand the needs of the communities where the issuer operates and to ensure its activities take into consideration the communities' interests.	COMMITMENT TO OUR COMMUNITY
B8.1	Focus areas of contribution (e.g. education, environmental concerns, labour needs, health, culture, sport).	COMMITMENT TO OUR COMMUNITY
B8.2	Resources contributed (e.g. money or time) to the focus area.	COMMITMENT TO OUR COMMUNITY

Corporate Sustainability Report

Independent Assurance Statement

Alaya Consulting Limited (hereinafter referred to as “Alaya Consulting”) has been engaged by AEON Credit Service (Asia) Company Limited (hereinafter referred to as “ACSA”) to conduct an independent verification of the data and information collection processes contained in its FY2024/25 Corporate Sustainability Report (“the CS Report”).

This independent assurance opinion statement is based on the conclusions derived from ACSA’s CS Report provided to Alaya Consulting. Therefore, the scope of the assurance engagement is based on and limited to the information contained within these provided materials, which Alaya believes to be complete and sufficient.

Scope and Purpose

The scope of the assurance engagement agreed between Alaya Consulting and ACSA includes:

1. The data and content contained in the CS Report.
2. The CS Report was compiled in accordance with the AA1000 Assurance Standard and the requirements outlined in Appendix C2 of the Main Board Listing Rules of The Stock Exchange of Hong Kong Limited (the “Stock Exchange”), namely the “Environmental, Social and Governance Reporting Guide” (the “ESG Guide”).

Through this verification process, Alaya Consulting conducted an independent validation of the integrity, accuracy, and reliability of the data and information contained in the CS Report, with the aim of:

- Verify whether the CS Report complies with the requirements of the AA1000 Assurance Standard and the ESG Guide;
- Verify the accuracy and consistency of the data and information selected and presented in the CS Report; and
- Assess the reliability of the data and information collection processes used to compile the CS Report.

Assurance level and verification methods

To gather evidence that supports our conclusions, we performed the following work:

- Reviewed key organisational developments of ACSA;
- Examined supporting evidence for the disclosures made in the CS Report; and
- Evaluated ACSA’s CS Report and management processes based on the inclusivity, materiality, responsiveness, and impact principles of the AA1000 Accountability Principles.

Independence

ACSA is responsible for collecting and presenting the contents of the CS Report. Our responsibility is to perform the corresponding independent assurance work in accordance with the terms of our engagement, and to issue a limited assurance conclusion to ACSA's board of directors regarding the selected data and information. The CS Report is prepared solely for the use of ACSA's board of directors.

Verification Conclusions

The review conducted based on the inclusivity, materiality, responsiveness, and impact principles of the AA1000 Assurance Standard V3 and the Stock Exchange's Appendix C2 ESG Guide is as follows:

Based on the review results, we have determined that the sustainability-related indicators in the CS Report are disclosed in accordance with the AA1000 Accountability Principles and the Stock Exchange's Appendix C2 ESG Guide.

Alaya Consulting Limited



3rd April 2025